TABLES & HIGH-YIELD

Economy

Teaching tables, Confused Pairs, Common Traps, Current Affairs, and other high-yield blocks.

UPPCS + UKPCS Study Library · chapter order follows Subject Notes.

Chapters

1. 12 master chapters (chapter map)
2. Topic 1 — Indian Economy: Basics, Evolution and Planning
3. Topic 2 — Public Finance, Budget, Taxation and Fiscal Policy
4. Topic 3 — Money, Banking, RBI and Financial System
5. Topic 4 — Inflation, Prices, Savings, Investment and Markets
6. Topic 5 — Agriculture and Indian Agricultural Economy
7. Topic 6 — Agricultural Policies, Schemes, MSP and Revolutions
8. Topic 7 — Industry, MSME and Infrastructure
9. Topic 8 — Employment, Poverty, Human Capital and Social Economy
10. Topic 9 — External Sector, Foreign Trade and Global Economy
11. Topic 10 — International Institutions, Groupings and Summits
12. Topic 11 — Services, Cooperatives, Companies and Regulators
13. Topic 12 — Economic Laws, Reports, Rankings and Misc

12 master chapters (chapter map)

Chapter index

#	Chapter	File to create later
1	Indian Economy: Basics, Evolution and Economic Planning	`01_Indian_Economy_Basics_Planning.md`
2	Public Finance, Budget, Taxation and Fiscal Policy	`02_Public_Finance_Budget_Taxation.md`
3	Money, Banking, RBI and Financial System	`03_Money_Banking_RBI_Financial_System.md`
4	Inflation, Prices, Savings, Investment and Financial Markets	`04_Inflation_Prices_Savings_Investment_Markets.md`
5	Agriculture and Indian Agricultural Economy	`05_Agriculture_Indian_Agricultural_Economy.md`
6	Agricultural Policies, Schemes, MSP and Green Revolution	`06_Agricultural_Policies_Schemes_MSP_Revolutions.md`
7	Industry, Manufacturing, MSME and Infrastructure	`07_Industry_MSME_Infrastructure.md`
8	Employment, Poverty, Human Capital and Social Economy	`08_Employment_Poverty_Human_Capital.md`
9	External Sector, Foreign Trade and Global Economy	`09_External_Sector_Foreign_Trade.md`
10	International Financial Institutions, Economic Groupings and Global Summits	`10_International_Institutions_Groupings.md`
11	Service Sector, Cooperatives, Companies and Regulatory Institutions	`11_Services_Cooperatives_Regulators.md`
12	Economic Laws, Reports, Rankings and Miscellaneous	`12_Economic_Laws_Reports_Rankings_Misc.md`

Where a repeated head lives

Head	Home
Growth vs development, planning, NITI, LPG reforms, national income / GDP family	Economy 1
Budget, deficits, taxes, GST, Finance Commission, fiscal federalism, subsidies	Economy 2
Money, RBI, monetary policy toolkit, bank types, NPA, UPI / FinTech, financial inclusion (banking angle)	Economy 3
Inflation types / indices, savings–investment, money & capital markets, SEBI / mutual funds / insurance–pension markets	Economy 4
Agri fundamentals: crops, seasons, irrigation, inputs, marketing, credit basics, agri problems	Economy 5
Land reforms, MSP, APMC, agri schemes, food security missions, colour revolutions, FCI / ICAR	Economy 6
Industry, MSME, industrial policy, FDI (industry angle), infrastructure, major industries	Economy 7
Poverty, unemployment, human capital, demographic dividend, inequality, inclusive growth	Economy 8
BoP, forex, exchange rate, trade barriers, CAD, FDI/FPI as external flows, bilateral trade	Economy 9
IMF, World Bank group, ADB, AIIB, NDB, BRICS, G20, G7, SCO, ASEAN, SAARC, BIMSTEC	Economy 10
Services sector, cooperatives, companies / CSR, regulator list (IRDAI, PFRDA, CCI, TRAI, IFSCA, BIS, FSSAI)	Economy 11
Acts / codes, Economic Survey tags, indices / rankings, committees, thinkers, misc CA	Economy 12
NABARD depth	Economy 3 (banking) + one-line in Economy 6 institutions

Head	Home
WTO agriculture	Economy 6 (agri angle) + Economy 9 / 10 (trade / WTO desk)
RBI as regulator name-only	Economy 11 list; full RBI = Economy 3
SEBI markets depth	Economy 4; SEBI in regulator list = Economy 11
UK state economy	`uttarakhand/` only
Census, demography, migration, urbanisation depth	Census and Urbanisation Topics 1–7
Demographic dividend (growth opportunity)	Economy 8 (+ age structure in Census Topic 3)

Topic 1 — Indian Economy: Basics, Evolution and Planning

Current Affairs & Contemporary Highlights

Reference Year	Key Institutional & Macroeconomic Fact	Conceptual Importance & Exam Relevance
2026 (MoSPI)	Central Statistics Office released a new National Accounts series adopting base year **2022–23** (effective **27 February 2026**), replacing the previous **2011–12** series.	Real GDP and growth estimates are calculated using 2022–23 constant prices; 2011–12 is no longer the operational base.
2025 (NITI FHI)	In NITI Aayog's **Fiscal Health Index 2025** (evaluating FY 2022–23), **Odisha** secured the 1st position among major States; **Uttar Pradesh** achieved a composite score of **45.9** (ranking 7th).	Highlights state rankings in public financial management indices and Uttar Pradesh's specific performance.
2025 (UKPCS / UPPCS)	NITI Aayog was established via an **Executive Cabinet Resolution** on **1 January 2015** (not 2014); its ex-officio Chairperson is the **Prime Minister** (not the President).	Reinforces the non-statutory, extra-constitutional character of NITI Aayog and its executive lineage.
2025 (UKPCS)	The **11th Five-Year Plan (2007–12)** adopted the targeted objective of **"Towards Faster and More Inclusive Growth"**.	Distinguished from the 12th Plan, which explicitly incorporated the keyword **"Sustainable"**.
2024 (UPPCS)	India is structurally classified as a **developing / underdeveloped** economy characterized by a **mixed economy** framework; **Adam Smith** is the classical Father of Economics, whereas **J.M. Keynes** is the father of modern macroeconomics.	Core conceptual classification question distinguishing classical economic taxonomy from modern macroeconomic pioneers.
2024 (UPPCS)	Economic development emphasizes multi-dimensional living standards and human welfare; **growth in per capita income alone is not a sufficient condition**.	Fundamental conceptual distinction between quantitative growth and qualitative socio-economic development.
2023 (UPPCS)	**Voluntary social service** is categorized as a non-monetized, non-economic activity, whereas agriculture, manufacturing, transport, and commercial services are economic activities.	Clarifies the definition of economic activity based on monetary transaction and material gain.
2015 onwards	The **Development Monitoring and Evaluation Office (DMEO)** was established on **18 September 2015** as an attached office under **NITI Aayog** (merging PEO and IEO).	Responsible for independent monitoring and evaluation of Government of India welfare schemes.

Confused Pairs

Concept A	Concept B	Conceptual Distinction & Mechanics	Key Memorization Anchor
Economic Growth	**Economic Development**	Growth is a quantitative increase in output (real GDP/PCI); Development is qualitative, measuring living standards, health, and welfare.	Growth = Output expansion; Development = Human well-being
Gross Domestic Product (GDP)	**Gross National Product (GNP)**	GDP measures output within geographic borders; GNP measures output by citizens/residents globally (GNP = GDP + NFIA).	GDP = Location; GNP = Nationality
Nominal GDP	**Real GDP**	Nominal evaluates goods at current prevailing prices; Real evaluates output at constant base-year prices to remove price distortion.	Nominal = Current prices; Real = Base-year constant prices
GDP Deflator	**Consumer Price Index (CPI)**	Deflator reflects price changes across all domestically produced goods/services; CPI tracks prices of a fixed consumer basket.	Deflator = Comprehensive output; CPI = Retail household consumption
Planning Commission	**NITI Aayog**	Planning Commission allocated plan funds directly to ministries and states; NITI Aayog is a policy think tank without financial allocation powers.	Planning = Allocation body (1950–2014); NITI = Think tank (2015+)

Concept A	Concept B	Conceptual Distinction & Mechanics	Key Memorization Anchor
NITI Chairperson	**President of India**	The Prime Minister is the ex-officio Chairperson of NITI Aayog; the President holds no official office within NITI.	Prime Minister chairs NITI Aayog
NITI Foundation Year	**2014 vs 2015**	Cabinet resolution passed and implemented on **1 January 2015** (not during the initial transition year 2014).	Official launch date: 1 January 2015
Full-time Vice-Chair	**Full-time Chairperson**	The Prime Minister is the ex-officio part-time Chair; executive leadership rests with the full-time Vice-Chairperson.	Vice-Chair is the full-time working executive
Economic Planning List	**Union vs Concurrent List**	"Economic and Social Planning" is Entry 20 of the **Concurrent List (List III)**, enabling both Centre and States to legislate.	Concurrent List (List III)
National Development Council	**NITI Governing Council**	NDC approved Five-Year Plans in the pre-2015 era; NITI Governing Council is the regular federal discussion forum for CMs and Lt Govs.	NDC = Five-Year Plan approval; GC = Active federal council
Development Monitoring Office	**PMO / Cabinet Secretariat**	DMEO is an attached office directly under **NITI Aayog**, formed by merging PEO and IEO on 18 September 2015.	DMEO = Attached office of NITI Aayog
Finance Commission	**Planning Commission**	Finance Commission is a constitutional body (Art. 280) for tax sharing; Planning Commission was an extra-constitutional body.	FC = Constitutional; Planning = Non-constitutional
Imperative Planning	**Indicative Planning**	Imperative planning dictates quotas by state fiat (Soviet command); Indicative planning incentivizes market agents toward public goals.	Imperative = Command system; Indicative = Market-friendly guidance
11th Plan Theme	**12th Plan Theme**	11th Plan: "Towards Faster and More Inclusive Growth"; 12th Plan: "Faster, More Inclusive and **Sustainable** Growth".	12th Plan explicitly adds "Sustainable"
Plan Holiday (1966–69)	**Rolling Plan (1978–80)**	Plan Holiday was 3 Annual Plans after war/drought; Rolling Plan was yearly target revisions introduced by the Janata government.	Holiday = Crisis gap; Rolling = Yearly revised strategy
Garibi Hatao (1971 Slogan)	**Fifth Plan Objective (1974–79)**	Slogan introduced by Indira Gandhi in the 1971 general election; adopted as formal Five-Year Plan twin objective in the 5th Plan.	1971 = Political campaign; 5th Plan = Formal policy objective
Bombay Plan (1944)	**Gandhian Plan (1944)**	Bombay Plan authored by leading industrialists for heavy state infrastructure; Gandhian Plan by S.N. Agarwal for cottage self-reliance.	Bombay = Big industry; Gandhian = Decentralized rural crafts
Adam Smith	**J.M. Keynes**	Adam Smith is the Father of Modern Economics (*Wealth of Nations*); Keynes is the Father of Modern Macroeconomics (*General Theory*).	Smith = General economics; Keynes = Macroeconomics
Mixed Economy	**Pure Capitalist / Socialist**	Mixed economy combines public ownership with private private enterprise; pure systems rely entirely on markets or state commands.	Mixed = Public + Private coexistence
Rajiv Gandhi Deregulation	**1991 Rao-Manmohan LPG**	Mid-1980s was early selective delicensing; July 1991 was systemic structural opening and crisis-driven liberalization.	1980s = First phase delicensing; 1991 = Complete structural LPG
Governors in NITI Council	**Chief Ministers & Lt Govs**	State Governors are excluded from NITI's Governing Council; only Chief Ministers and Union Territory administrators participate.	Governors are NOT members of NITI Governing Council

Concept A	Concept B	Conceptual Distinction & Mechanics	Key Memorization Anchor
National Income Identity	**NNP at Market Price**	National Income is officially NNP at **Factor Cost** (NNP_FC), which subtracts net indirect taxes from market value.	NI = NNP_FC, not NNP_MP
Real GDP Base Year	**2011–12 vs 2022–23**	Previous historical base was 2011–12; MoSPI revised the benchmark series to **2022–23** effective February 2026.	Current base year = 2022–23
"Hindu Rate of Growth"	**Demographic Growth Rate**	Coined by Prof. Raj Krishna for ~3.5% national output stagnation between 1950s–1980s; it does not measure population growth.	Refers to GDP stagnation (~3.5%), not demographics
Real Sector	**Financial Sector**	Real sector involves physical production (agriculture, textiles, factories); financial sector covers intermediation (banks, credit, securities).	Real = Physical goods/services; Financial = Capital/banking
Stabilisation Program	**Structural Adjustment**	Stabilisation is short-term demand reduction to contain inflation and BoP; Structural adjustment is long-term supply-side deregulation.	Stabilisation = Short-term demand; Structural = Long-term supply
Dadabhai Naoroji	**Dr. V.K.R.V. Rao**	Naoroji made the first historical estimate of per capita income (1867–68); Rao produced the first rigorous scientific methodology (1931–32).	Naoroji = First estimate; Rao = First scientific methodology
Capital–Output Ratio (COR)	**Capital Efficiency**	A higher COR indicates that more capital is required to generate one unit of output, reflecting lower capital productivity.	High COR = Lower capital efficiency
Gadgil–Mukherjee Formula	**Finance Commission Shares**	Used for allocating Central Plan Assistance (population weighted highest at 60%); distinct from Finance Commission tax devolution.	Gadgil = Plan assistance; FC = Statutory tax devolution

1.5 The Five-Year Plans: Chronology, Models, and Thematic Focus

Chronological Guide to Indian Plans

Plan & Duration	Theoretical Model & Architects	Priority Sectors & Distinctive Highlights	Growth Target vs Actual
First Plan (1951–56)	**Harrod–Domar Model** (adapted by K.N. Raj)	Agriculture, price stability, power, and major irrigation (Bhakra Nangal, Damodar Valley, Hirakud). Formally launched 1 April 1951.	Target: 2.1% Actual: **3.6%**
Second Plan (1956–61)	**P.C. Mahalanobis Model** (Heavy Industry Strategy)	Capital goods, heavy engineering, steel plants (Bhilai, Durgapur, Rourkela). Adopted the goal of a **"Socialistic Pattern of Society"** (IPR 1956).	Target: 4.5% Actual: **4.27%**
Third Plan (1961–66)	**John Sandy & S. Chakravarty Model**	Self-reliant agriculture and heavy industry. Disrupted by the Sino-Indian War (1962), Indo-Pak War (1965), and severe drought (1965–66).	Target: 5.6% Actual: **2.84%**
Plan Holiday (1966–69)	Three Annual Plans	Devaluation of the Rupee (1966), launch of the **Green Revolution** (High Yielding Varieties Program), and agricultural price support (creation of FCI & CACP).	Stabilized economy
Fourth Plan (1969–74)	**Ashok Rudra & A.S. Manne Model**	Core objective: **"Growth with Stability and Progressive Self-Reliance"**. Nationalization of 14 major commercial banks (1969); Indo-Pak War (1971) and oil shock (1973).	Target: 5.7% Actual: **3.3%**
Fifth Plan (1974–79)	**D.D. Dhar Model**	Twin objectives: **"Garibi Hatao" (Poverty Removal)** and **"Attainment of Self-Reliance"** (zero net foreign aid). Launched 20-Point Program (1975). Terminated early in 1978.	Target: 4.4% Actual: **4.8%**

Plan & Duration	Theoretical Model & Architects	Priority Sectors & Distinctive Highlights	Growth Target vs Actual
Rolling Plan (1978–80)	Proposed by **Gunnar Myrdal**	Formulated by the Janata Party government under Morarji Desai, revising targets annually. Discontinued when Congress returned to power in 1980.	Transitional Annual Plans
Sixth Plan (1980–85)	Modernization & Technology Framework	Direct attack on poverty via family welfare; nationwide rollout of **IRDP (Integrated Rural Development Programme)** on 2 October 1980; establishment of **NABARD (1982)**.	Target: 5.2% Actual: **5.66%**
Seventh Plan (1985–90)	Focus on Food and Productivity	Slogan: **"Food, Work and Productivity"**. Introduction of Jawahar Rozgar Yojana (JRY, 1989); private sector investment outlays surpassed public sector for the first time.	Target: 5.0% Actual: **6.01%**
Annual Plans (1990–92)	Intermittent Annual Plans	Balance of Payments crisis, gold pledging, and launch of systemic economic reforms (July 1991).	Reform period
Eighth Plan (1992–97)	**John W. Miller Model**	Designated **human development** as the core of economic planning. Focused on infrastructure and private enterprise encouragement following 1991 LPG reforms.	Target: 5.6% Actual: **6.68%**
Ninth Plan (1997–2002)	50th Independence Anniversary Plan	Core objective: **"Growth with Social Justice and Equity"**. Institutionalized the **Women's Component Plan (WCP)**, earmarking at least 30% of scheme funds for women.	Target: 6.5% Actual: **5.35%**
Tenth Plan (2002–07)	Monitorable Target Framework	Ambitious 8% GDP target; set monitorable targets for poverty reduction, primary schooling, and gender parity; highest outlay allocation directed toward the **energy sector**.	Target: 8.0% Actual: **7.7%**
Eleventh Plan (2007–12)	C. Rangarajan Leadership	Slogan: **"Towards Faster and More Inclusive Growth"**. Substantial investments in education (Right to Education Act) and health (NRHM).	Target: 9.0% Actual: **7.9%**
Twelfth Plan (2012–17)	Final Five-Year Plan	Slogan: **"Faster, More Inclusive and Sustainable Growth"**. NDC approved an 8% growth target; prioritized infrastructure investment estimated at **USD 1 trillion**.	Final FYP before transition

Supplementary Concepts & High-Yield Theoretical Notes

Methodological Dilemmas in National Income Computation

- **Double Counting:** A common error in national accounting where the value of intermediate goods (e.g., flour used by a baker) is counted alongside the value of the final product (bread). To eliminate double counting, only final product prices or the net value added (Value of Output − Intermediate Consumption) across stages are aggregated.
- **Transfer Payments:** Outlays such as old-age pensions, unemployment benefits, scholarships, and family remittances do not reflect payments for productive services rendered in the current period. Consequently, all transfer payments are excluded from Gross Domestic Product and National Income.
- **Price Distortion:** Current-price per capita income growth consistently exceeds constant-price per capita income growth during inflationary periods because current prices reflect both volume expansion and price inflation.

Landmark Pre-Independence Planning Concepts

- **National Planning Committee (1938):** Initiated by Netaji Subhash Chandra Bose and presided over by Jawaharlal Nehru, this committee represented the first formal attempt by the Indian nationalist leadership to outline an all-India planned economic framework.
- **The Bombay Plan (1944):** Titled *A Brief Memorandum Outlining a Plan of Economic Development for India*, this proposal by eight prominent industrialists recognized that post-Independence industrialization would require

massive state investment in basic heavy industries, power generation, and transport infrastructure that private capital alone could not finance.

- **The Gandhian Plan (1944):** Drafted by Sriman Narayan Agarwal, this blueprint emphasized village self-sufficiency, decentralized handicraft cooperatives, and moral economics, deliberately repudiating centralized, mechanized heavy industrialization.

NITI Aayog Performance Indices & Federal Tracking

- **Sustainable Development Goals (SDG) India Index:** Comprehensive index ranking States and UTs on their progress across 16 United Nations Sustainable Development Goals.
- **Composite Water Management Index (CWMI):** Benchmarks State performance in groundwater recharge, water management efficiency, and watershed development.
- **Fiscal Health Index (2025):** Evaluates State financial sustainability and fiscal discipline; in the 2025 evaluation, **Odisha** ranked 1st among major States, with **Uttar Pradesh** scoring **45.9** (7th rank).
- **India Innovation Index:** Measures innovation capacity across human capital, business environment, and patent generation; **Karnataka** has consistently topped the major States category.

Common Traps & High-Yield Conceptual Clarifications

- **Mixed Economy Definition:** A mixed economy denotes the institutional coexistence and cooperation of the **public and private sectors**; it does not mean a combination of small and large industries, or agriculture and service sectors alone.
- **Classical vs Modern Macroeconomic Pioneers: Adam Smith** is celebrated as the Father of Modern Economics (*Wealth of Nations*, 1776). In contrast, **J.M. Keynes** is recognized as the father of modern macroeconomics (*General Theory*, 1936), not general economics.
- **Factor Endowments:** India is structurally classified as a **labour-surplus economy** (abundant labour relative to capital endowments); it is not a capital-surplus or trade-surplus nation.
- **Underdevelopment Indicators:** Key structural traits of underdeveloped economies are **low per capita income**, **low rate of capital formation**, and severe disguised unemployment. A low dependency ratio and a tertiary-dominated workforce are attributes of advanced, developed economies.
- **Economic Activity Boundary:** Commercial activities (farming, manufacturing, transportation) undertaken for monetary remuneration constitute economic activities. Altruistic **voluntary social service** is non-monetized and classified as non-economic.
- **Economic Growth vs Development:** Sustained growth in real per capita income is the most reliable single indicator of economic growth, but it is **not a sufficient condition** for development. If poverty, unemployment, and inequality worsen, economic development has failed despite real GNP growth.
- **The "Hindu Rate of Growth":** Coined by economist Prof. Raj Krishna, the term denotes the ~**3.5% GDP stagnation** between the 1950s and early 1980s; it does not refer to demographic or population growth rates.
- **Official National Income Definition:** National Income in standard Indian national accounting is formally defined as **Net National Product at factor cost (NNP_FC)**. Net Domestic Product equals GDP minus depreciation (never GDP plus depreciation).
- **National Accounts Base Year:** Real GDP series isolate volume changes using constant base-year prices. Effective **February 2026**, MoSPI revised the benchmark base year to **2022–23** (replacing the previous 2011–12 series).
- **Measurement Obstacles in National Income:** The predominant practical dilemma in computing Indian national income is the large **unorganized / informal sector** and **non-monetized subsistence transactions**, rather than underemployment or inflation per se.
- **Real Sector vs Financial Sector:** The real sector encompasses physical production, crops, and manufacturing; the financial sector comprises credit intermediation, banking, and capital market securities.

- **Capital–Output Ratio Dynamics:** A high Capital–Output Ratio (COR) signifies lower capital efficiency, explaining why GDP growth may lag despite high domestic savings rates. Household physical savings (real estate, gold) historically constitute the largest domestic saving component.
- **Stabilisation vs Structural Adjustment:** Stabilisation involves short-term demand reduction to control inflation and foreign exchange depletion; Structural adjustment involves long-term supply-side market opening and industrial delicensing.
- **Business Cycle Taxonomy:** A financial meltdown signifies a sharp fall in asset and stock prices; a recession requires an absolute contraction in GDP over at least two consecutive quarters; a slowdown denotes decelerating growth rates.
- **NITI Aayog Architecture:** Established on **1 January 2015** via Union Cabinet Resolution; chaired by the **Prime Minister**; full-time executive leadership rests with the Vice-Chairperson; it does **not** allocate budgetary plan funds; **State Governors are not members** of the Governing Council.
- **Constitutional Placement of Planning:** "Economic and Social Planning" resides in the **Concurrent List (List III, Entry 20)** of the Seventh Schedule, granting concurrent legislative authority to Parliament and State Legislatures.
- **Attached Evaluation Offices:** The Development Monitoring and Evaluation Office (DMEO) was instituted on **18 September 2015** as an attached office under **NITI Aayog** (not under the PMO, Cabinet Secretariat, or MoSPI).
- **National Development Council (NDC):** Chaired by the Prime Minister and formed on 6 August 1952, its primary mandate was the final approval of Five-Year Plans. It has never been formally dissolved by executive resolution.
- **Finance Commission vs Planning Commission:** The Finance Commission is a statutory constitutional body (**Article 280**) governing tax devolution; the erstwhile Planning Commission was an extra-constitutional, non-statutory body determining developmental plan assistance.
- **Gadgil–Mukherjee Formula:** Central Plan Assistance allocation assigned the single highest weightage to **population (60%)**, not financial performance.
- **Five-Year Plan Theme Distinctions:** The 11th Plan theme was **"Towards Faster and More Inclusive Growth"**; the 12th Plan explicitly added **"Sustainable"** to its title (**"Faster, More Inclusive and Sustainable Growth"**).
- **Plan Holiday vs Rolling Plan:** The Plan Holiday (**1966–69**) comprised three Annual Plans necessitated by war and drought; the Rolling Plan (**1978–80**) was a rolling strategy introduced by the Janata government based on Gunnar Myrdal's model.
- **Garibi Hatao Timeline:** First popularized by Indira Gandhi as an election slogan during the **1971 elections**; formally adopted as a twin plan objective in the **Fifth Five-Year Plan (1974–79)**.
- **Authors of Pre-Independence Plans:** Bombay Plan (1944) was drafted by 8 leading industrialists (not including Dhirubhai Ambani); Gandhian Plan (1944) by Sriman Narayan Agarwal; People's Plan (1945) by M.N. Roy; Sarvodaya Plan (1950) by Jayaprakash Narayan.
- **Phases of Liberalization:** Early selective delicensing and capacity broadbanding began in the mid-1980s under Rajiv Gandhi; systemic, comprehensive structural reform began in July 1991 under P.V. Narasimha Rao and Dr. Manmohan Singh.
- **State Economic Rankings:** Maharashtra possesses the largest State Gross Domestic Product (GSDP); Bihar records the lowest per capita income; Goa and Sikkim record the highest per capita incomes.
- **Sustainable Development Goals Leader:** NITI Aayog is the nodal coordinating body for SDG implementation across Indian States. In the 2025 Fiscal Health Index, **Odisha** ranked 1st among major States, with **Uttar Pradesh** scoring **45.9**.

Topic 2 — Public Finance, Budget, Taxation and Fiscal Policy

Current Affairs & Contemporary Highlights

Reference Year	Key Institutional & Fiscal Fact	Conceptual Importance & Exam Relevance
2025 (UPPCS)	Chronological succession of Finance Commission Chairmen: **11th A.M. Khusro → 12th Dr. C. Rangarajan → 13th Dr. Vijay Kelkar → 14th Dr. Y.V. Reddy → 15th N.K. Singh**.	Prevents frequent confusion between Rangarajan (12th) and Y.V. Reddy (14th).
2025 (Fiscal Policy)	GST Council initiated structured rate rationalization from multiple legacy slabs toward a simplified 3-tier structure (merit, standard, demerit).	Highlights GST's destination-based consumption framework and federal consensus mechanism under Article 279A.
2024 (UPPCS)	The Goods and Services Tax (GST) was enacted via the **101st Constitutional Amendment Act, 2016** (effective 1 July 2017).	Distinguishes the 101st Amendment (GST) from the 73rd (Panchayats), 86th (Education), and 91st (Ministry size limit).
2024 (UPPCS)	Key Constitutional Articles: Consolidated Fund & Public Account = **Article 266**; Finance Commission = **Article 280**; Financial Emergency = **Article 360**; CAG = **Article 148**.	Standard multi-article constitutional matching matrix in public administration and finance.
2023 (UPPCS)	The Finance Commission consists of a Chairman and **four other members** (total 5); it submits its recommendations to the **President of India**, not to NITI Aayog.	Clarifies membership count and constitutional reporting line under Article 280 and Article 281.
15th FC Award	Recommended vertical tax devolution of **41%** of the net divisible pool to States (adjusted from the 14th FC's **42%** to account for the newly formed Union Territories of Jammu & Kashmir and Ladakh).	Core benchmark for Union-to-State statutory tax sharing.
Budget Procedure	The Annual Financial Statement is laid before Parliament by the **Finance Minister on behalf of the President of India** under **Article 112** (not on behalf of the Prime Minister).	Rigorous constitutional procedure governing executive financial presentation.
Gender Budgeting	Formally institutionalized in the Union Budget from financial year **2005–06** as a targeted gender-disaggregated expenditure statement.	Tests landmark years in budgetary social reforms.
FRBM Documents	The **Macro-Economic Framework Statement** is statutorily mandated by Section 3 of the **Fiscal Responsibility and Budget Management (FRBM) Act, 2003**.	Mandated statutory accountability document laid alongside the Annual Financial Statement.

Confused Pairs

Concept A	Concept B	Conceptual Distinction & Mechanics	Key Memorization Anchor
Revenue Deficit	**Fiscal Deficit**	Revenue deficit measures current operational dissaving; Fiscal deficit measures the total net borrowing requirement of the government.	Revenue = Consumption gap; Fiscal = Total borrowing need
Fiscal Deficit	**Primary Deficit**	Fiscal deficit includes total debt servicing; Primary deficit strips out interest payments to assess current fiscal stance.	Primary = Fiscal − Interest
Consolidated Fund (Art. 266(1))	**Public Account (Art. 266(2))**	Consolidated Fund holds all revenues/loans and requires appropriation; Public Account holds trust funds (PF, deposits) without prior voting.	Consolidated = Appropriation required; Public Account = Banking/trust
Contingency Fund (Art. 267)	**Consolidated Fund (Art. 266)**	Contingency Fund is an emergency imprest at the President's disposal; Consolidated Fund is the regular treasury.	Contingency = Emergency imprest; Consolidated = Main treasury

Concept A	Concept B	Conceptual Distinction & Mechanics	Key Memorization Anchor
FC Report Submission	**President vs NITI Aayog**	Under Article 280(3), the Finance Commission submits its report to the **President**, who lays it in Parliament; NITI receives no report.	Report goes to President
Finance Commission Strength	**Chairman + 4 vs Chairman + 6**	Under Article 280(1), the Finance Commission comprises a Chairman and **four other members** (total five persons).	Total members = 5 (Chair + 4)
FC Member Qualifications	**Determined by Parliament vs President**	Under Article 280(2), **Parliament by law** determines qualifications (1951 Act); the President merely appoints the qualified individuals.	Qualifications = Parliament by law
14th FC vs 15th FC Share	**42% vs 41% Devolution**	14th FC awarded 42%; 15th FC adjusted the vertical devolution to 41% to accommodate the UTs of J&K and Ladakh.	14th = 42%; 15th = 41%
GST Constitutional Vehicle	**101st vs Other Amendments**	101st Amendment enacted GST; 73rd enacted Panchayats; 86th enacted Right to Education; 91st capped ministry size.	GST = 101st Amendment Act
GST Council Chair	**Union Finance Minister vs PM**	Under Article 279A, the GST Council is chaired by the **Union Finance Minister**, with State Finance/Tax Ministers as members.	Union Finance Minister chairs GST Council
Direct Tax Code (DTC)	**Goods and Services Tax (GST)**	DTC was an initiative to reform direct personal and corporate income taxes; GST overhauled multi-layered indirect commodity taxes.	DTC = Direct tax reform; GST = Indirect tax overhaul
Tobin Tax	**Domestic Turnover Taxes**	Tobin tax specifically targets spot cross-border **foreign-exchange transactions**; STT targets domestic securities trading.	Tobin = Forex transaction levy
Progressive Tax	**Degressive Tax**	Progressive taxes maintain rates that escalate continuously; Degressive systems rise across lower slabs before plateauing into a flat rate.	India income tax is structurally degressive
Charged Expenditure	**Voted Expenditure**	Charged items are non-votable and settled automatically; Voted demands must receive positive majority approval in Lok Sabha.	Charged = Non-votable; Voted = Subject to Lok Sabha vote
CGST + SGST	**IGST**	CGST and SGST are levied concurrently on intra-State transactions; IGST is levied on inter-State movement and international imports.	Intra-State = CGST+SGST; Inter-State = IGST
Annual Financial Statement	**Presented on behalf of President**	Under Article 112, the Finance Minister presents the budget on behalf of the President, not on behalf of the Prime Minister.	Laid on behalf of President
Macroeconomic Framework	**FRBM Act vs Article 112**	Mandated statutorily by Section 3 of the FRBM Act, 2003, rather than by constitutional budgetary articles alone.	Statutorily mandated by FRBM Act
Fiscal Policy	**Monetary Policy**	Fiscal policy is managed by the Ministry of Finance (tax, spend, debt); Monetary policy is managed by the RBI (repo, CRR, liquidity).	MoF = Fiscal policy; RBI = Monetary policy
Policy Cut Motion	**Token Cut Motion**	Policy Cut reduces demand to **₹1** (disapproval of policy); Token Cut reduces demand by **₹100** (ventilating grievance).	Policy Cut = ₹1; Token Cut = ₹100
Vote on Account	**Interim Budget**	Vote on Account is a 2-month expenditure sanction; Interim Budget includes comprehensive revenue/expenditure estimates before elections.	Vote on Account = Grant for spending; Interim = Full mini-budget

Concept A	Concept B	Conceptual Distinction & Mechanics	Key Memorization Anchor
Customs Duty	**VAT / Central Excise**	Basic customs duties remain independent border tariffs outside GST; State VAT and Central excise were largely subsumed into GST.	Customs = Outside GST; VAT/Excise = Subsumed

2.4 Tax Architecture: Direct and Indirect Taxation

Direct vs Indirect Taxation

- **Direct Taxes:** Taxes levied directly on the income, wealth, or corporate profits of legal entities. The statutory liability (impact) and ultimate economic burden (incidence) reside on the identical taxpayer. Direct taxes are non-shiftable (e.g., Personal Income Tax, Corporation Tax, Securities Transaction Tax).
- **Indirect Taxes:** Taxes levied on the production, sale, or consumption of commodities and commercial services. The taxpayer legally liable to collect the tax (manufacturers, retailers) shifts the economic incidence to final consumers through price inclusion (e.g., GST, Basic Customs Duty, Central Excise on fuels).

Landmark Tax Reform & Economic Policy Committees

Committee / Commission	Year	Core Mandate & Landmark Recommendations
Nicholas Kaldor	**1956**	British economist from Cambridge invited by the Government of India. Submitted the influential *Indian Tax Reform: Report of a Survey*. Recommended an integrated direct tax system comprising **Expenditure Tax (1957)**, **Wealth Tax (1957)**, and **Gift Tax (1958)** alongside income tax and capital gains tax to broaden the base and curb evasion.
Direct Taxes Enquiry Committee (Wanchoo Committee)	**1971**	Chaired by former CJI **Justice K.N. Wanchoo**. Examined the causes of black money, tax evasion, and tax arrears. Recommended slashing peak marginal income tax rates (which had reached an expropriatory 97.75%), tightening search-and-seizure powers, and voluntary disclosure schemes.
Indirect Taxation Enquiry Committee (L.K. Jha Committee)	**1976–77**	Recommended reforming the cascading indirect tax structure by introducing a manufacturing-stage Value Added Tax (MANVAT), which directly culminated in the introduction of **MODVAT in 1986**.
Tax Reforms Committee (Raja J. Chelliah Committee)	**1991–93**	The foundational blueprint for India's post-1991 economic reforms. Recommended: (1) Lowering and simplifying corporate and personal income tax rates to moderate levels; (2) Rationalizing customs tariffs to make domestic industry competitive; (3) Introducing a full-fledged **Service Tax** (implemented in **1994–95**).
C. Rangarajan Committee on Disinvestment	**1993**	Formulated the criteria and institutional architecture for **Disinvestment of Shares in Public Sector Enterprises (PSEs)**.
Onkar Goswami Committee	**1993**	Addressed **Industrial Sickness and Corporate Restructuring**, recommending reforms to the Sick Industrial Companies Act (SICA) and BIFR procedures.
R.N. Malhotra Committee	**1993–94**	Recommended landmark **Insurance Sector Reforms**, leading to the establishment of the Insurance Regulatory and Development Authority (IRDA Act, 1999) and opening the sector to private and foreign participation.
M. Narasimham Committees	**1991 & 1998**	Chaired by former RBI Governor M. Narasimham on **Banking Sector and Financial System Reforms** (introduced prudential accounting, Capital Adequacy Ratios [CAR/Basel norms], NPA classifications, and phased reduction in statutory pre-emptions like SLR and CRR).
Task Force on Direct & Indirect Taxes (Dr. Vijay Kelkar Committee)	**2002**	Recommended comprehensive rationalization: widening the tax base, phasing out exemptions, establishing a National Tax Agency, simplifying income tax slabs, and pioneering the foundational concept of a unified national **Goods and Services Tax (GST)**.

2.5 The Goods and Services Tax (GST) Architecture

Taxes Subsumed vs Taxes Outside GST

- **Central Levies Subsumed:** Central Excise Duty, Additional Excise Duties, Service Tax, Additional Customs Duty (CVD), Special Additional Duty of Customs (SAD), and Central surcharges/cesses relating to goods and services.
- **State Levies Subsumed:** State VAT/Sales Tax, Central Sales Tax (CST), Purchase Tax, Luxury Tax, Entry Tax / Octroi, Entertainment Tax (except when levied by local bodies), Taxes on lotteries/betting, and State surcharges/cesses.
- **Taxes Kept Outside GST:** 1. **Basic Customs Duty (BCD):** Continues as an independent border import tariff. 2. **Alcohol for Human Consumption:** Specifically excluded by Article 366(12A); States retain exclusive excise and VAT jurisdiction. 3. **Five Petroleum Products:** Petroleum crude, high-speed diesel, motor spirit (petrol), natural gas, and aviation turbine fuel (ATF) are temporarily outside GST; they will enter GST on a date notified by the GST Council. 4. **Electricity Duty & Stamp Duty:** Retained by State Governments. 5. **Direct Taxes:** Personal Income Tax and Corporation Tax remain entirely outside GST.

Q-EC6. UPPCS (Pre) 2021

Which of the following Constitution Amendment Acts made necessary provisions for the implementation of GST (Goods and Service Tax) regime?

A. 101st Amendment Act
B. 102nd Amendment Act
C. 103 rd Amendment Act
D. 104 th Amendment Act

Q-EC7. UPPCS (Pre) 2024

GST in India was introduced through which Constitutional Amendment Act?

A. 101st Amendment
B. 91st Amendment
C. 86th Amendment
D. 73rd Amendment

Q-EC8. UKPCS (Pre) 2021

Which of the following taxes are abolished by the Goods and Services Tax?

A. Property Tax
B. Corporation Tax
C. Value Added Tax
D. Income Tax

2.6 The Finance Commission and Fiscal Federalism

Master Chronology of All 16 Finance Commissions (1st to 16th)

FC	Year of Constitution	Chairman	Operational (Award) Period	Key Recommendations & Milestone Facts
1st	**1951**	**K.C. Neogy**	**1952–57**	**First Finance Commission of India.** Set initial criteria for sharing income tax (55%) and union excise duties (40% of 3 specific commodities: tobacco, matches, vegetable products).
2nd	**1956**	**K. Santhanam**	**1957–62**	Increased income tax devolution to 60%; expanded divisible union excise to 8 commodities. Recommended grants-in-aid under Article 275.

FC	Year of Constitution	Chairman	Operational (Award) Period	Key Recommendations & Milestone Facts
3rd	**1960**	**A.K. Chanda**	**1962–66**	Recommended income tax share of 66.6%; extended excise sharing to all commodities generating over ₹50 lakh revenue.
4th	**1964**	**Dr. P.V. Rajamannar**	**1966–69**	Raised income tax share to 75%; extended excise sharing to all union excise duties.
5th	**1968**	**Mahaveer Tyagi**	**1969–74**	Maintained 75% income tax share; introduced interim report mechanism.
6th	**1972**	**K. Brahmananda Reddy**	**1974–79**	Raised income tax share to 80%; introduced non-Plan capital gap assistance to indebted States.
7th	**1977**	**J.M. Shelat**	**1979–84**	Doubled States' share of union excise duties from 20% to **40%**; income tax share raised to 85%.
8th	**1982**	**Y.B. Chavan**	**1984–89**	Introduced 5% reservation in excise for deficit States (40% general + 5% deficit states = 45%).
9th	**1987**	**N.K.P. Salve**	**1989–95**	Adopted normative approach to revenue and expenditure projections; submitted two separate reports (1989–90 and 1990–95).
10th	**1992**	**K.C. Pant**	**1995–2000**	**Alternative Devolution Scheme:** Recommended that **29% of gross central taxes** (rather than individual specified taxes) be pooled and shared with States. Led to landmark **80th Constitutional Amendment Act, 2000** (amending Art. 270).
11th	**1998**	**Prof. A.M. Khusro**	**2000–05**	Recommended **29.5%** devolution (28% general + 1.5% for non-sharing taxes); first commission mandated under Articles 243-I & 243-Y to recommend local body grants (Panchayats and Municipalities).
12th	**2002**	**Dr. C. Rangarajan**	**2005–10**	Raised devolution to **30.5%**; recommended landmark **Debt Consolidation and Relief Facility (DCRF)** linked to States enacting their own Fiscal Responsibility and Budget Management (FRBM) Acts.
13th	**2007**	**Dr. Vijay Kelkar**	**2010–15**	Increased devolution to **32.0%**; introduced ₹50,000 crore grand incentive for GST rollout; incorporated **Forest Cover** (7.5%) as a horizontal green devolution metric.
14th	**2013**	**Dr. Y.V. Reddy**	**2015–20**	**Record jump in vertical devolution from 32% to 42%** of divisible pool. Abolished distinction between Plan and Non-Plan grants, providing massive untied fiscal transfers to States.
15th	**2017**	**N.K. Singh**	**2020–26**	Devolution set at **41%** (adjusted 1% downward from 42% to fund the newly formed Union Territories of **J&K and Ladakh**). Shifted population metric to **2011 Census** (15%), balanced by a 12.5% **Demographic Performance** criterion. Two reports: interim (2020–21) and final (2021–26).
16th	**2023**	**Dr. Arvind Panagariya**	**2026–31**	**Constituted on 31 December 2023** under Article 280. Chaired by Dr. Arvind Panagariya (former Vice-Chairman of NITI Aayog; Columbia University Professor). Secretary: **Ritvik Ranjanam Pandey**. Mandate: Devolution, grants-in-aid, disaster management financing, and local body augmentation. Report submission deadline: **31 October 2025** for award period starting **1 April 2026**.

Supplementary Concepts & High-Yield Theoretical Notes

Institutional Departments under the Ministry of Finance

The Union Ministry of Finance comprises six functional departments:

1. **Department of Economic Affairs (DEA):** Prepares the Union Budget, formulates economic policy, and monitors capital markets.
2. **Department of Expenditure:** Oversees central government spending, public financial management, and financial rules.
3. **Department of Revenue:** Administers direct and indirect taxes through the Central Board of Direct Taxes (CBDT) and Central Board of Indirect Taxes and Customs (CBIC).
4. **Department of Investment and Public Asset Management (DIPAM):** Manages disinvestment, asset monetization, and government equity in CPSEs.
5. **Department of Financial Services (DFS):** Regulates public sector banks, financial institutions, insurance companies, and pension reforms. (Note: A standalone "Banking Division" is an internal wing within DFS, not an independent department).
6. **Department of Public Enterprises (DPE):** Coordinates policy for Central Public Sector Enterprises (transferred to MoF in 2021).

Key Budgetary Reforms & Terminology

- **Guillotine in Parliament:** On the last day allocated for the discussion of Demands for Grants in Lok Sabha, the Speaker puts all remaining undiscovered demands to vote without further discussion to meet financial calendar deadlines.
- **Zero-Based Budgeting (ZBB):** Requires every administrative program to be justified from ground zero each budget cycle, evaluating cost-benefit afresh rather than incrementally adjusting the previous year's baseline.
- **Agriculture Infrastructure and Development Cess (AIDC):** Introduced in Budget 2021–22 on 29 specified imported and excise commodities (including fuels and agricultural imports) to finance rural infrastructure without increasing overall consumer tax burden.
- **Economic Survey Terminology ("Chakravyuha Challenge"):** The Economic Survey 2015–16 highlighted India's transition from "socialism with limited entry" to "marketism without exit", emphasizing the administrative and legal impediments that prevent unviable, failing businesses from exiting the market.

Common Traps & High-Yield Conceptual Clarifications

- **Constitutional Funds:** Consolidated Fund of India and Public Account are established under **Article 266**; the Contingency Fund of India is established under **Article 267**. **Article 265** establishes that no tax shall be levied or collected except by authority of law.
- **Annual Financial Statement Authority:** Under Article 112, the budget is presented by the **Finance Minister on behalf of the President of India**, not on behalf of the Prime Minister. Demands for grants require prior presidential recommendation (Article 113(3)).
- **Finance Commission Structure:** Comprises a Chairman and **four other members** (total five). Qualifications are prescribed by **Parliament by law** (*1951 Act*), not by the President. The Commission submits its report to the **President of India** under Article 280(3), never to NITI Aayog.
- **Vertical Devolution Percentages:** 14th Finance Commission recommended **42%** devolution to States; 15th Finance Commission adjusted this to **41%** to account for the newly carved Union Territories of Jammu & Kashmir and Ladakh.
- **Deficit Formulas:**
- **Revenue Deficit = Revenue Expenditure − Revenue Receipts**
- **Fiscal Deficit = Total Expenditure − (Revenue Receipts + Non-Debt Capital Receipts)**
- **Primary Deficit = Fiscal Deficit − Interest Payments**
- **Effective Revenue Deficit = Revenue Deficit − Grants for Creation of Capital Assets**
- **GST Constitutional Framework:** Enacted by the **101st Constitutional Amendment Act, 2016** (effective 1 July 2017). Dual GST features CGST + SGST on intra-State supplies and IGST on inter-State supplies and imports.

- **GST Council Voting:** Chaired by the **Union Finance Minister** under Article 279A. Central Government holds 1/3rd weighted vote; all States together hold 2/3rd weighted vote; decisions require a 3/4th (75%) weighted majority.
- **Taxes Outside GST:** Basic Customs Duty, alcohol for human consumption, stamp duties, electricity duty, and five petroleum products (crude, petrol, diesel, aviation turbine fuel, natural gas) remain outside current GST collections.
- **Direct Tax Code Focus:** DTC targets direct taxes (**Income Tax and Corporate Tax**), not indirect commodity taxes.
- **Tobin Tax Target:** Specifically targets spot **foreign-exchange transactions** to penalize currency speculation; it is not an environmental or domestic wealth tax.
- **Progressive vs Degressive:** The Indian income tax system is structurally **degressive** (progressive across lower and middle slabs, flattening into a proportional rate at the top).
- **Charged vs Voted Expenditure:** Expenditure charged on the Consolidated Fund (e.g., President's emoluments, Supreme Court judges' salaries, debt interest) is discussed by Parliament but **not submitted to the vote of Lok Sabha**.
- **FRBM Disclosures:** The Macro-Economic Framework Statement is mandated statutorily by the **FRBM Act, 2003**, not by Article 112 alone.
- **Largest Expenditure Head: Interest payments** represent the largest single revenue expenditure outgo in the Union Budget.
- **Cut Motions:** A Policy Cut reduces a demand to **₹1**; an Economy Cut reduces it by a specified amount; a Token Cut reduces it by **₹100**.
- **Vote on Account:** An advance interim expenditure grant under **Article 116(a)**; an Interim Budget is a full budget presented prior to general elections.
- **Project Saksham:** An indirect tax IT modernization project of CBIC supporting nationwide digital GST operations.

Topic 3 — Money, Banking, RBI and Financial System

Current Affairs & Contemporary Highlights

Reference Year	Key Institutional & Banking Highlight	Conceptual Importance & Exam Relevance
2025 (UKPCS / CA)	Under the **"One State, One RRB"** structural consolidation roadmap, the Government of India initiated the merger of **26 Regional Rural Banks** across 10 States/UTs, reducing the total national RRB count from **43 to 28**.	Tests structural consolidation arithmetic and rural banking architecture.
2024 (UPPCS)	Core statutory function of the Reserve Bank of India: **exclusive authority for banknote issuance** under Section 22 of the RBI Act, 1934 (distinguished from income tax collection, census, or foreign trade policy).	Emphasizes classical central banking prerogatives.
2024 (UPPCS)	Coordinated historical milestones in Indian financial inclusion: **Commercial bank nationalization (1969 & 1980) + Establishment of Regional Rural Banks (1975) + Adoption of villages by bank branches (Lead Bank Scheme)**.	Comprehensive multi-pronged developmental approach to expanding rural credit access.
2022 onwards	RBI operationalized the **Standing Deposit Facility (SDF)** under amended Section 17 of the RBI Act at an uncollateralized rate below the policy repo rate, replacing fixed-rate reverse repo as the primary liquidity absorption tool.	Modern liquidity adjustment facility operating without collateral securities.
Monetary Target	Under Section 45ZA of the RBI Act, the Central Government, in consultation with RBI, notified the flexible inflation target as **4% CPI headline inflation with a tolerance band of ±2%** (upper tolerance 6%, lower tolerance 2%).	Anchors modern macroeconomic monetary policy deliberations in India.

Confused Pairs

Concept A	Concept B	Conceptual Distinction & Mechanics	Key Memorization Anchor
M1 (Narrow Money)	**M3 (Broad Money)**	M1 comprises currency and demand deposits (highly liquid); M3 adds time/fixed deposits with commercial banks.	M1 = Currency + Demand; M3 = M1 + Time Deposits
Repo Rate	**Reverse Repo / SDF**	Repo is the rate at which RBI lends funds to banks; Reverse Repo / SDF is the rate at which RBI absorbs surplus liquidity.	Repo = Injects liquidity; SDF/Reverse = Absorbs liquidity
Cash Reserve Ratio (CRR)	**Statutory Liquidity Ratio (SLR)**	CRR must be kept as unremunerated cash with RBI; SLR is kept within the commercial bank itself in approved liquid assets (G-Secs, gold).	CRR = Cash with RBI; SLR = Liquid G-Secs with bank
Bank Rate	**Repo Rate**	Bank Rate is an older long-term rediscounting/penal rate without collateral repurchase; Repo is the short-term policy rate under LAF.	Bank Rate = Penal/rediscount; Repo = Key overnight policy rate
Payments Bank	**Small Finance Bank (SFB)**	Payments Banks cannot lend or issue credit cards; SFBs are full commercial banks with an inclusion mandate (75% PSL target).	Payments = No lending; SFB = Full bank for small loans
NABARD	**Commercial Banks / RRBs**	NABARD is an apex refinance and supervisory institution; RRBs and commercial banks engage in direct retail lending to citizens.	NABARD = Apex refinance; Banks = Direct retail loans
Banknote Issuance	**One Rupee Note & Metallic Coins**	RBI issues banknotes of ₹2 and higher; Ministry of Finance (Govt of India) issues One Rupee notes (signed by Finance Secretary) and coins.	₹1 note = Finance Secretary; ₹2+ = RBI Governor
MPC Chairperson	**Union Finance Minister**	The Governor of the RBI is the statutory ex-officio Chairperson of the MPC; the Finance Minister holds no seat on the committee.	RBI Governor chairs the MPC

Concept A	Concept B	Conceptual Distinction & Mechanics	Key Memorization Anchor
Bank Nationalization 1969	**Bank Nationalization 1980**	1969 wave nationalized 14 major commercial banks; 1980 wave nationalized 6 additional commercial banks.	1969 = 14 banks; 1980 = 6 banks
Gross NPA	**Net NPA**	Gross NPA is the total value of delinquent loans; Net NPA subtracts cumulative bad-debt provisions set aside by the bank.	Net NPA = Gross NPA − Provisions
FSDC Chairperson	**NITI Aayog Organs**	FSDC is an inter-regulatory apex body chaired by the **Union Finance Minister**, completely distinct from NITI Aayog.	FSDC = Chaired by Union Finance Minister
Credit Rating Agency Regulator	**RBI vs SEBI**	Credit Rating Agencies (CRISIL, ICRA, CARE) are legally regulated by **SEBI**, not by the Reserve Bank of India.	SEBI regulates CRAs
SHG-Bank Linkage Pioneer	**NABARD vs SBI Alone**	NABARD conceptualized and piloted the nationwide SHG-Bank Linkage Programme in 1992; commercial banks acted as financing partners.	NABARD pioneered SHG Linkage
Currency Appreciation	**Currency Depreciation**	Appreciation is market-driven strengthening of currency; Depreciation is market-driven weakening against foreign currencies.	Appreciation = Currency strengthens
Prathama Bank (1975)	**Imperial Bank (1921)**	Prathama Bank was the first Regional Rural Bank; Imperial Bank was the predecessor transformed into State Bank of India in 1955.	Prathama = First RRB; Imperial = Predecessor to SBI

3.5 Rural Credit Architecture, Development Finance & Landmark Committees

Committee & Year	Chairman	Core Recommendations & Systemic Impact
Hilton Young Commission (1926)	E. Hilton Young	Recommended establishment of a central bank, leading to the RBI Act, 1934.
Gorwala Committee (1954)	A.D. Gorwala	Recommended creation of a state-partnered commercial bank, resulting in SBI (1955).
Narasimham Working Group (1975)	M. Narasimham	Recommended establishing low-cost rural banks, leading to the creation of RRBs (1975).
Sivaraman Committee / CRAFICARD (1979)	B. Sivaraman	Recommended establishing an apex agriculture bank, leading to NABARD (1982).
Chakravarty Committee (1985)	Sukhamoy Chakravarty	Recommended monetary targeting framework, treasury bill auctioning, and interest rate deregulation.
Narasimham Committee I (1991)	M. Narasimham	Systemic deregulation: reduction of high CRR/SLR, introduction of prudential accounting norms (90-day NPA classification, capital adequacy), licensing of new private sector banks.
Narasimham Committee II (1998)	M. Narasimham	Structural consolidation: mergers of strong PSBs, creation of Asset Reconstruction Companies (ARCs), operational autonomy for banks.
R.V. Gupta Committee (1998)	R.V. Gupta	Procedural simplifications in agricultural lending; model for Kisan Credit Card (KCC).
Raghuram Rajan Committee (2008)	Dr. Raghuram Rajan	Financial sector reforms: principle-based supervision, institutional creation of FSDC (2010), deepening of corporate bond markets.
Nachiket Mor Committee (2013)	Nachiket Mor	Comprehensive financial inclusion: differentiated bank licensing leading to Payments Banks and Small Finance Banks.
Urjit Patel Committee (2014)	Dr. Urjit Patel	Recommended adoption of Flexible Inflation Targeting (FIT), CPI Combined anchor (4\% \pm 2\%), and statutory creation of Monetary Policy Committee (MPC).

Committee & Year	Chairman	Core Recommendations & Systemic Impact
P.J. Nayak Committee (2014)	P.J. Nayak	Governance of PSB boards: creation of Bank Boards Bureau (BBB, now FSIB), reducing government shareholding below 50\%.

Bilingual Terminology – Money, Banking & Financial System

English Term	Hindi Term	Key Conceptual Anchor
Legal Tender	विधिमान्य मुद्रा	Currency officially recognized by law that a creditor is bound to accept in settlement of debt
Fiat Money	प्रादिष्ट मुद्रा	Currency issued by government order without commodity backing; has no intrinsic value
Reserve Money (M_0)	प्रारक्षित मुद्रा / आधार मुद्रा	Central bank monetary base; Currency in circulation + Bankers' deposits + Other deposits with RBI
Narrow Money (M_1)	संकीर्ण मुद्रा	Highly liquid money; Currency with public + Demand deposits + Other deposits with RBI
Broad Money (M_3)	व्यापक मुद्रा	Most common measure of national money supply; M_1 + Time deposits with commercial banks
Money Multiplier	मुद्रा गुणक	Ratio of broad money supply to reserve money: m = M_3 / M_0
Scheduled Bank	अनुसूचित बैंक	Bank listed in the Second Schedule of the Reserve Bank of India Act, 1934
Priority Sector Lending	प्राथमिकता प्राप्त क्षेत्र ऋण	Mandatory lending quota (40\% for domestic SCBs; 75\% for SFBs/RRBs) for agriculture, MSMEs, etc.
Non-Performing Asset (NPA)	गैर-निष्पादित परिसंपत्ति	Loan or advance overdue for more than 90 days; classified into Substandard, Doubtful, and Loss
Repo Rate	रेपो दर	Benchmark interest rate at which RBI lends overnight funds to banks against G-Sec collateral
Reverse Repo / SDF	रिवर्स रेपो / स्थायी जमा सुविधा	Rate at which RBI absorbs surplus liquidity; SDF (2022) absorbs liquidity without G-Sec collateral
Cash Reserve Ratio (CRR)	नकद आरक्षित अनुपात	Percentage of NDTL maintained as unremunerated cash balances by banks with the RBI
Statutory Liquidity Ratio (SLR)	सांविधिक तरलता अनुपात	Percentage of NDTL maintained by banks in approved liquid assets (cash, gold, G-Secs)
Open Market Operations	खुले बाजार की क्रियाएं	Outright sale or purchase of government securities by the RBI to manage durable liquidity
Lender of Last Resort	अंतिम ऋणदाता	Emergency central bank liquidity accommodation provided to solvent banks facing liquidity crises
Ways and Means Advances (WMA)	अर्थोपाय अग्रिम	Short-term bridge advances (up to 90 days) granted by RBI to governments for temporary cash mismatches

Common Traps & High-Yield Conceptual Clarifications

- **Banknote Issuing Authority:** Under Section 22 of the RBI Act, 1934, the **RBI issues all banknotes of denomination ₹2 and above**. **One Rupee notes and all metallic coins are issued by the Ministry of Finance**, and One Rupee notes bear the signature of the **Finance Secretary**, not the RBI Governor.
- **Monetary Policy Committee Leadership:** The **Governor of the Reserve Bank of India** is the ex-officio Chairperson of the MPC; the Union Finance Minister has no seat on the committee.
- **Inflation Target Structure:** Flexible inflation targeting benchmarks **headline Consumer Price Index (CPI) at 4% with a tolerance band of ±2%** (between 2% and 6%).

- **Payments Banks vs Small Finance Banks:** Payments Banks can accept demand deposits (up to ₹2 lakh) and issue ATM/debit cards, but are **strictly prohibited from lending loans or issuing credit cards**. In contrast, Small Finance Banks are full banks authorized to grant credit.
- **Commercial Bank Nationalization Dates:** The **first wave (1969)** nationalized 14 banks (deposit threshold ₹50 crore); the **second wave (1980)** nationalized 6 additional banks (deposit threshold ₹200 crore).
- **Rural Credit Milestone Sequence:** 1. **Lead Bank Scheme:** 1969 (Gadgil/Nariman) 2. **Regional Rural Banks (RRBs):** 1975 (Prathama Bank, Moradabad) 3. **NABARD:** 1982 (B. Sivaraman Committee) 4. **SHG-Bank Linkage:** 1992 (NABARD pilot) 5. **Kisan Credit Card (KCC):** 1998 (R.V. Gupta Committee)
- **Equity Structure of RRBs:** Held strictly in the proportion **50% Central Government, 15% State Government, and 35% Sponsor Bank**.
- **CRR Interest Ban:** The RBI pays **no interest** on cash reserve balances maintained by banks under the Cash Reserve Ratio.
- **Standing Deposit Facility (SDF):** Unlike the traditional reverse repo rate, the SDF absorbs liquidity **without requiring government securities as collateral**.
- **Apex Rural Refinance Agency: NABARD** is an apex refinance and regulatory oversight agency, not a retail commercial bank advancing individual retail loans.
- **Credit Rating Agency Oversight:** Credit Rating Agencies (CRISIL, ICRA, CARE) are regulated by **SEBI**, not by the Reserve Bank of India.
- **Financial Stability Council (FSDC):** Chaired by the **Union Finance Minister**, not by the RBI Governor or NITI Aayog.

Topic 4 — Inflation, Prices, Savings, Investment and Markets

Current Affairs & Contemporary Highlights

Reference Year	Key Institutional & Market Highlight	Conceptual Importance & Exam Relevance
2024 (UPPCS)	In India, **retail inflation** is officially tracked and targeted using the **Consumer Price Index (Combined)**, compiled by the National Statistical Office (NSO) under MoSPI (not WPI, IIP, or GDP deflator).	Fundamental distinguishing question across national macroeconomic indices.
2024 (UKPCS)	Inflation measured across the entire consumer basket including food and energy components is designated as **Headline Inflation**; stripping out volatile food and fuel prices yields **Core Inflation**.	Core conceptual taxonomy distinguishing headline from core inflation.
2021 (UPPCS)	The **Wholesale Price Index (WPI)** is released by the **Office of the Economic Adviser (OEA)**, Department for Promotion of Industry and Internal Trade (DPIIT), **Ministry of Commerce and Industry** (not RBI or Finance Ministry).	Institutional provenance of primary wholesale economic statistics.
Monetary Target	Under the statutory Monetary Policy Framework Agreement, the RBI targets **CPI (Combined)** inflation at **4% with a tolerance band of ±2%** (2% to 6%).	Policy anchor connecting retail price indices to RBI monetary policy.

Confused Pairs

Concept A	Concept B	Conceptual Distinction & Mechanics	Key Memorization Anchor
Inflation	**Disinflation**	Inflation is rising price levels; Disinflation is a declining *rate* of inflation (prices continue rising, but more slowly).	Inflation = Price level rises; Disinflation = Inflation rate slows
Deflation	**Disinflation**	Deflation is a sustained drop in the price level (negative inflation); Disinflation is positive inflation at a moderated pace.	Deflation = Negative inflation; Disinflation = Slowing positive inflation
Headline Inflation	**Core Inflation**	Headline covers the comprehensive basket including food and energy; Core excludes volatile food and fuel to show baseline trend.	Headline = Entire basket; Core = Strips food & fuel
Consumer Price Index (CPI)	**Wholesale Price Index (WPI)**	CPI measures retail prices faced by households and includes services; WPI measures wholesale trade and excludes services completely.	CPI = Retail + Services; WPI = Wholesale goods only
CPI Compiling Agency	**WPI Compiling Agency**	CPI Combined is compiled by NSO (MoSPI); WPI is compiled by Office of Economic Adviser, DPIIT (Ministry of Commerce and Industry).	CPI = MoSPI; WPI = Ministry of Commerce
Retail Inflation Policy Anchor	**GDP Deflator / IIP**	CPI Combined is the official anchor for RBI inflation targeting; GDP Deflator is a comprehensive national output index; IIP is a volume index.	Monetary policy targets CPI Combined
Impact on Debtors	**Impact on Creditors**	Debtors gain from unanticipated inflation (repaying in cheaper currency); Creditors and fixed-income earners lose real purchasing power.	Debtors gain; Creditors lose
Money Market	**Capital Market**	Money market handles short-term instruments (up to 1 year); Capital market handles long-term equity and debt (exceeding 1 year).	Money = Short-term (≤1 yr); Capital = Long-term (>1 yr)
Primary Market	**Secondary Market**	Primary market issues brand new securities (IPOs); Secondary market facilitates trading of existing securities between investors.	Primary = New issuance; Secondary = Trading existing securities

Concept A	Concept B	Conceptual Distinction & Mechanics	Key Memorization Anchor
Call Money	**Notice Money**	Call money is borrowing for 1 day (overnight); Notice money is borrowing for 2 to 14 days.	Call = 1 day; Notice = 2 to 14 days
SEBI Regulatory Scope	**RBI Regulatory Scope**	SEBI regulates securities exchanges, brokers, and mutual funds; RBI regulates money markets, government securities, and banks.	SEBI = Capital markets; RBI = Banking & money markets
BSE Sensex (30 stocks)	**NSE Nifty (50 stocks)**	Sensex tracks 30 large-cap stocks on BSE; Nifty tracks 50 diversified stocks on NSE.	Sensex = 30; Nifty = 50
Masala Bonds	**Standard Foreign Currency Bonds**	Masala bonds are denominated in Indian Rupees (currency risk on foreign investor); Foreign currency bonds carry exchange risk for Indian borrower.	Masala = Rupee-denominated abroad

4.2 Measurement of Price Inflation: CPI, WPI, GDP Deflator & IIP

Parameter	Consumer Price Index (CPI Combined)	Wholesale Price Index (WPI)
Compiling Authority	**NSO, MoSPI**	**Office of Economic Adviser, DPIIT, Min of Commerce**
Current Base Year	**2012 = 100**	**2011–12 = 100**
Coverage	**Goods AND Services**	**Goods ONLY (Services excluded)**
Largest Basket Component	**Food & Beverages (45.86%)**	**Manufactured Products (64.23%)**
Policy Anchor	**Official anchor for RBI Inflation Targeting**	Used for business pricing & GDP deflator inputs
Point of Pricing	Consumer retail point (includes indirect taxes)	Wholesale transaction (excludes retail taxes)

4.5 Capital Market Institutions, SEBI Regulatory Framework & Specialized Bonds

Regulatory Authority	Statutory Act & Year	Jurisdictional Domain
Reserve Bank of India (RBI)	RBI Act, 1934 (est. 1935)	Commercial banks, RRBs, urban cooperative banks, NBFCs, Money Market, Forex, G-Secs
Securities & Exchange Board of India (SEBI)	SEBI Act, 1992 (est. 1988)	Capital markets, stock exchanges, mutual funds, credit rating agencies, portfolio managers
Insurance Regulatory & Development Authority (IRDAI)	IRDA Act, 1999 (Hyderabad)	Life and general insurance companies, reinsurance entities, insurance intermediaries
Pension Fund Regulatory & Development Authority (PFRDA)	PFRDA Act, 2013 (est. 2003)	National Pension System (NPS), Atal Pension Yojana (APY), pension fund managers
Financial Stability & Development Council (FSDC)	Executive notification, Dec 2010	Apex inter-regulatory coordination council chaired by the **Union Finance Minister**

Bilingual Terminology – Inflation, Prices & Financial Markets

English Term	Hindi Term	Key Conceptual Anchor
Inflation	मुद्रास्फीति	Sustained general rise in prices; persistent erosion in currency purchasing power
Deflation	अवस्फीति / मुद्रा संकुचन	Persistent general drop in price level (negative inflation rate)
Disinflation	अपस्फीति	Deceleration in the rate of inflation (prices continue rising, but more slowly)
Stagflation	गतिहीन स्फीति	Stagnant economic growth + high unemployment + high inflation
Demand-Pull Inflation	मांग-प्रेरित मुद्रास्फीति	Price rise driven by aggregate demand outpacing productive aggregate supply

English Term	Hindi Term	Key Conceptual Anchor
Cost-Push Inflation	लागत-प्रेरित मुद्रास्फीति	Price rise driven by surging input costs of production or supply disruptions
Headline Inflation	हेडलाइन मुद्रास्फीति	Total inflation across the entire commodity basket including food and energy
Core Inflation	कोर मुद्रास्फीति	Underlying inflation trend calculated by excluding volatile food and fuel prices
Consumer Price Index (CPI)	उपभोक्ता मूल्य सूचकांक	Retail price index tracking goods and services; official anchor for RBI inflation targeting
Wholesale Price Index (WPI)	थोक मूल्य सूचकांक	Wholesale price index covering goods only (services completely excluded); compiled by DPIIT
GDP Deflator	जीडीपी अपस्फीतिकारक	Ratio of Nominal GDP to Real GDP \times 100; comprehensive price measure of domestic output
Index of Industrial Production	औद्योगिक उत्पादन सूचकांक	Physical volume index of Mining, Manufacturing, and Electricity; compiled by NSO
Gross Capital Formation	सकल पूंजी निर्माण	Net addition to fixed capital assets + change in inventory stocks during an accounting year
Incremental Capital-Output Ratio	वृद्धिशील पूंजी-उत्पाद अनुपात	Capital required to produce one extra unit of output; lower ICOR indicates higher efficiency
Money Market	मुद्रा बाजार	Short-term credit market (maturities \le 1\text{ year}); regulated by the RBI
Capital Market	पूंजी बाजार	Long-term equity and debt market (maturities > 1\text{ year}); regulated by SEBI
Treasury Bills	ट्रेजरी बिल	Short-term sovereign discount instruments issued by RBI for GoI (91, 182, 364 days)
Commercial Paper	वाणिज्यिक पत्र	Short-term unsecured promissory note issued by corporates (7 days to 1 year)
Masala Bonds	मसाला बॉन्ड	Rupee-denominated debt bonds issued by Indian entities in overseas capital markets

Common Traps & High-Yield Conceptual Clarifications

- **Official Inflation Gauge:** The Reserve Bank of India benchmarks its flexible inflation-targeting monetary policy strictly against **CPI (Combined)**, compiled by the NSO (MoSPI), not against WPI, IIP, or the GDP Deflator.
- **Services Exclusion in WPI:** The **Wholesale Price Index (WPI) completely excludes services**, tracking only manufactured products, primary articles, and fuel/power. CPI includes both goods and services.
- **Compiling Ministries Split:** CPI Combined is compiled by the **Ministry of Statistics and Programme Implementation (MoSPI)**; WPI is compiled by the **Ministry of Commerce and Industry** (OEA/DPIIT). Sectoral indices (CPI-IW, CPI-AL) are compiled by the **Labour Bureau** (Ministry of Labour and Employment).
- **Debtor vs Creditor Dynamics:** During unexpected inflation, **debtors gain** because the real value of their debt obligation decreases; **creditors, bondholders, and fixed-income earners lose** purchasing power.
- **Core vs Headline Inflation: Headline inflation includes all commodities** in the consumer basket; **Core inflation explicitly strips out food and fuel** to assess underlying demand pressure.
- **Money Market vs Capital Market Horizon:** Money market instruments have maturities of **up to one year** (364 days); Capital market instruments (equities, corporate bonds) have maturities **exceeding one year**.
- **Treasury Bills Limitation:** Treasury Bills are issued exclusively by the **Central Government**; State Governments cannot issue T-bills (they issue State Development Loans - SDLs).
- **Call vs Notice Money:** Call Money is inter-bank lending for **one day (overnight)**; Notice Money is for **2 to 14 days**.

- **SEBI Statutory Date:** Formed in 1988, SEBI became a statutory body on **30 January 1992** under the *Securities and Exchange Board of India Act, 1992*.
- **Stock Index Representation:** The **BSE Sensex comprises 30 stocks**; the **NSE Nifty comprises 50 stocks**.
- **Masala Bonds Currency:** Masala bonds are denominated in **Indian Rupees** in overseas markets; the currency exchange risk is borne by the overseas investor, protecting the Indian issuer against Rupee depreciation.
- **Index of Industrial Production (IIP):** The IIP is an industrial **volume index**, not an inflation or price index.

Topic 5 — Agriculture and Indian Agricultural Economy

Current Affairs

Year	Fact	Why it matters
IYM / Shree Anna	UN International Year of Millets **2023**; India brands millets as Shree Anna.	Millet producer / export stems.
Nano urea / DAP	IFFCO Kalol commercial nano liquid urea / nano DAP plants.	Place–product identity.
PM-PRANAM	Union Budget 2023–24 incentive for states to cut chemical fertilizer use.	Scheme name stem.
Agri-Stack / DPI	Digital Public Infrastructure for Agriculture narrative.	Rolling CA — refresh figures from Survey.

Confused Pairs

Pair (A vs B)	Correct Feature / Institution	Trap to avoid	Hindi keyword
Marginal Holding vs Small Holding	**Marginal:** Less than 1.00 ha (68.5% holdings). **Small:** 1.00 to 2.00 ha (17.7% holdings).	Do NOT call 1–2 ha marginal; SMFs together make **86.2%**.	सीमांत (<1 ha) / लघु (1-2 ha)
Cost A2+FL vs Cost C2	**A2+FL:** Paid expenses + family labor value (Govt 1.5x formula). **C2:** Comprehensive cost (+ land rent & interest on capital).	Swaminathan Commission recommended C2 + 50%, NOT A2+FL.	A2+FL (सरकारी आधार) / C2 (स्वामीनाथन सिफारिश)
CACP vs CCEA	**CACP:** *Recommends* MSP (Advisory body, 1965). **CCEA:** Apex body that *approves and announces* MSP (Chaired by PM).	Do NOT mark CACP as the final approving body for MSP.	CACP (सलाहकार) / CCEA (अंतिम निर्णय)
MSP vs FRP	**MSP:** Announced for 22 mandated agricultural crops. **FRP:** Statutory price fixed under Essential Commodities Act for **Sugarcane**.	FRP is unique to Sugarcane; grains/pulses have MSP.	MSP (22 फसलें) / FRP (गन्ना)
Urea Subsidy vs NBS	**Urea:** MRP is statutorily fixed by Govt; difference paid as subsidy. **NBS (2010):** Annual subsidy fixed per kg (N, P, K, S); MRP decontrolled.	Non-urea fertilizers do NOT have statutory MRP control.	यूरिया (नियंत्रित) / NBS (अनियंत्रित MRP)
NABARD vs RBI in Agri Credit	**NABARD (1982):** Apex developmental refinancing institution for agriculture. **RBI:** Central monetary regulator fixing PSL norms (18% ANBC).	NABARD does NOT give direct loans to retail individual farmers.	नाबार्ड (पुनर्वित्त) / वाणिज्यिक बैंक (प्रत्यक्ष ऋण)
e-NAM vs APMC	**APMC:** Physical state-level agricultural produce market committees. **e-NAM:** Pan-India electronic networking portal aggregating APMCs.	e-NAM does NOT abolish physical mandis; it integrates them digitally.	APMC (भौतिक मंडी) / e-NAM (डिजिटल पोर्टल)
Amber Box vs Green Box	**Amber Box:** Trade-distorting subsidies (MSP, input subsidies; capped at 10%). **Green Box:** Non-trade distorting (R&D, disaster relief; allowed without limit).	MSP procurement falls in the Amber Box, NOT the Green Box.	अंबर बॉक्स (व्यापार विकृत) / ग्रीन बॉक्स (स्वीकृत)

Pair (A vs B)	Correct Feature / Institution	Trap to avoid	Hindi keyword
PMKSY Per Drop More Crop vs Har Khet Ko Pani	**Per Drop More Crop:** Micro-irrigation (Drip & Sprinkler). **Har Khet Ko Pani:** Creating new water sources, repair of water bodies.	Do not confuse micro-irrigation with surface water creation.	प्रति बूंद अधिक फसल (सूक्ष्म सिंचाई)
Sikkim vs Lakshadweep Organic	**Sikkim:** First 100% Organic **State** in India/World (2016). **Lakshadweep:** First 100% Organic **Union Territory** (2020).	Watch the State vs Union Territory distinction in questions.	सिक्किम (राज्य) / लक्षद्वीप (UT)

5.3 Irrigation Architecture and Water Management

Source-wise Share in Net Irrigated Area of India

Irrigation Source	National Share (%)	Geographical Distribution & Leading States	Economic Advantages & Environmental Hazards
Wells & Tube-wells (नलकूप एवं कुएं)	**~62% – 64%** (Dominant Source)	Heavily concentrated in the Indo-Gangetic Plains: **Uttar Pradesh, Punjab, Haryana, Rajasthan, Gujarat, Bihar**.	**Advantages:** Independent farmer control, on-demand irrigation, high application efficiency. **Hazards:** Over-exploitation of aquifers, creating "dark zones" and ground subsidence; power subsidy distortion.
Canals (नहरें)	**~23% – 25%** (Second Largest)	Extensive in alluvial river plains: **Uttar Pradesh, Punjab, Haryana, Andhra Pradesh, Rajasthan (Indira Gandhi Canal)**.	**Advantages:** Harnesses perennial river runoff; low recurring operational cost for farmers. **Hazards:** Waterlogging (*Seep*), soil salinization and alkalinization (*Reh/Kallar*), siltation of canals.
Tanks (तालाब / जलाशय)	**~3% – 4%**	Ancient indigenous system prevalent in the hard-rock Deccan plateau: **Tamil Nadu, Andhra Pradesh, Telangana, Karnataka**.	**Advantages:** Eco-friendly, rainwater harvesting, recharges groundwater. **Hazards:** Silt accumulation, highly dependent on local seasonal rainfall, seasonal drying.
Other Sources (Lifts, Springs, Streams)	**~7% – 9%**	Mountainous valleys, coastal deltas, wetlands: **Uttarakhand, Himachal, North-Eastern states**.	Localized small-scale mountain systems (*Kuhl* in Himachal).

5.5 Sustainable, Organic and Natural Farming

2. Natural Farming vs Organic Farming

- **Organic farming** often permits off-farm organic inputs (e.g. commercially purchased vermicompost, bio-fertilizers) and requires rigorous certification.
- **Natural farming** strictly prohibits all external purchased inputs; all soil nutrients and pest repellents must be prepared on-farm using indigenous cow dung, cow urine, and local biomass.
- **Zero Budget Natural Farming (ZBNF):**
- Pioneered by Padma Shri **Subhash Palekar** in Maharashtra and Karnataka.
- **Four Pillars of ZBNF:**
    1. **Jeevamrutha (जीवामृत):** Fermented liquid microbial inoculant made of fresh indigenous cow dung, cow urine, jaggery, pulse flour, virgin soil, and water; stimulates soil earthworms and microbial activity.

2. **Bijamrutha (बीजामृत):** Seed treatment concoction using cow dung, urine, and lime to protect young seedlings from seed-borne and soil-borne fungal pathogens.
3. **Acchadana (आच्छादन - Mulching):** Soil, straw, and live mulching to preserve topsoil moisture and suppress weeds.
4. **Whapasa (वापसा):** Micro-climatic soil moisture aeration condition where both air and water molecules coexist in equal balance in root zones, slashing water needs by over 80%.

Common Traps

Trap	Correct
Agriculture % of GDP	25-30%	Agriculture contributes **~17-18%** of GDP (2022-23)
Agriculture employment	60%+	Agriculture employs **~45-48%** (down significantly)
India's largest soil type	Black soil	**Alluvial soil** is largest (~43%); Black soil = ~15%
Black soil crops	Rice, wheat	Black soil = **Cotton** (primary); "Regur" or "Cotton soil"
Laterite soil suitability	Food grains	Laterite = poor for food; good for **Tea, coffee, rubber, cashew**
Kharif harvesting	March-April	Kharif harvested **September-October** (Rabi harvested March-April)
Major irrigation source	Canals	**Groundwater/tubewells** = largest source (~62% of net irrigated area)
India groundwater	Small user	India = **world's largest groundwater user** (~25% of global extraction)
PMKSY motto	More Crop Per Drop only	Full: **"Har Khet Ko Paani, More Crop Per Drop"**
Average farm size	2+ hectares	Average farm size = **1.08 ha** (2015-16; declining)
Food grain production	250 MT	**330 MT** (2022-23, all-time record)

Topic 6 — Agricultural Policies, Schemes, MSP and Revolutions

Current Affairs

Year / Paper	Critical fact	Trap to avoid
2025 (UKPCS Pre)	**Dr. Verghese Kurien** is the Father of the White Revolution. **NDDB** was established in **1965** at Anand, Gujarat.	Operation Flood was launched in **1970** — do not confuse NDDB founding (1965) with Flood launch (1970).
2024 (UPPCS Pre)	CACP recommends MSP for **22 mandated crops** + **FRP** for sugarcane.	Sugarcane gets **FRP**, not MSP (Sugarcane Control Order, 1966).
2024 (UKPCS Pre)	National Commission on Farmers (Swaminathan, 2006) recommended MSP at least **C_2 + 50%**.	Government currently fixes MSP at **1.5 × (A_2 + FL)**, not C_2 + 50%.
2025–2026 focus	**PMGKAY** free foodgrain (5 kg/person/month for Priority Households; 35 kg/household/month for AAY) extended under NFSA through **December 2028**.	Older NFSA issue prices of ₹2/₹3 per kg were reduced to **₹0 (100% free)** under the PMGKAY integration.

Confused Pairs

A	B	Correct distinction
Father of Green Revolution (World)	Father of Green Revolution (India)	**Norman Borlaug** (Nobel 1970) vs **M.S. Swaminathan** (Bharat Ratna 2024).
White Revolution	Green Revolution	Milk / Operation Flood (**Kurien, 1970**) vs HYV wheat–rice (**Swaminathan, 1966**).
NDDB founding	Operation Flood launch	NDDB **1965** (Anand) vs Flood **1970**.
Yellow Revolution	Golden Revolution	**Oilseeds** (Sam Pitroda) vs **horticulture / honey / fruits** (Nirpakh Tutej).
Golden Fibre	Silver Fibre	**Jute** vs **cotton**.
Silver Revolution	Silver Fibre	**Eggs / poultry** vs **cotton**.
Round Revolution	Grey Revolution	**Potato** (CPRI Kufri) vs **fertilizers**.
Pink Revolution	Red Revolution	**Onion / prawn / pharma** vs **meat / tomato**.
Sweet Revolution	Sugarcane / FRP	Sweet = **honey / beekeeping**; sugarcane price = **FRP / SAP**.
Cost A_2 + FL	Cost C_2	A_2+FL = paid costs + family labour (govt **1.5×** base) vs C_2 adds land rent + fixed-capital interest (**Swaminathan C_2+50%**).
MSP	FRP	Floor for **22 crops** (CACP → CCEA) vs statutory **sugarcane** price (Control Order 1966).
FRP	SAP	Central statutory floor vs **State** advised price (often higher).
CACP	CCEA	**Recommends** MSP vs **approves** MSP.
FCI	NAFED / NCCF	Mainly **wheat–rice** procurement vs **pulses / oilseeds / copra** under PSS.
Priority Households	AAY	**5 kg per person / month** vs **35 kg per household / month**.
PM-KISAN	PMFBY	Income support **₹6,000/year** vs crop **insurance** premiums 2% / 1.5% / 5%.
e-NAM	APMC abolition	e-NAM **networks** mandis digitally; it does not abolish physical APMCs.
Palm oil support	CACP MSP oilseeds	Palm uses **Viability Price** (NMEO-OP), not the 22-crop MSP list.

Common Traps

Topic	Classic trap	Correct truth
CACP vs CCEA	CACP finally fixes MSP	CACP **recommends**; **CCEA** approves
Sugarcane price	Sugarcane gets MSP	Sugarcane gets **FRP** (Control Order 1966); States may add **SAP**
MSP formula	Current = C_2 + 50%	Current benchmark = **1.5 × (A_2 + FL)**; C_2 + 50% = Swaminathan recommendation
NDDB vs Flood	Both in 1970	NDDB **1965**; Operation Flood **1970**
PM-KISAN scope	Still only <2 ha	Expanded **June 2019** to all landholding farmer families (with exclusions)
NFSA issue price	Still quote ₹2/₹3	Under PMGKAY integration, covered grain is **free through Dec 2028**
PHH vs AAY units	Swap person/household	PHH **5 kg/person**; AAY **35 kg/household**
Golden Fibre vs Silver Fibre	Swap jute/cotton	Golden Fibre = **jute**; Silver Fibre = **cotton**
Sweet Revolution	= sugarcane	Sweet = **beekeeping / honey**
PMFBY compulsory	Always compulsory for loanee farmers	**Voluntary for all** from Kharif **2020**
PMFBY replaced	Only NAIS	Replaced **NAIS and MNAIS**
e-NAM agency / year	FCI / 2015 or 2017	**SFAC**; launched **14 April 2016**
Palm oil	Inside 22 MSP crops	Uses **Viability Price** under NMEO-OP
FCI vs NAFED	FCI procures all MSP crops	FCI mainly **wheat–rice**; pulses/oilseeds PSS via **NAFED/NCCF**
PM-AASHA	Only two components	**Three**: PSS + PDPS + PPSS
AIF corpus	₹50,000 Cr or ₹2 lakh Cr	**₹1 lakh crore** (2020–2032)
CPRI location	Agra	**Kufri, Shimla**
Bharat Ratna 2024	Norman Borlaug	**M.S. Swaminathan**
Agri PSL	20% or 25% of ANBC	Agriculture **18%** of ANBC
KCC effective rate	Flat 7% forever	Subvention + prompt repayment can make effective rate about **4%**

Topic 7 — Industry, MSME and Infrastructure

Current Affairs & Contemporary Highlights

Reference Year	Key Industrial & Infrastructure Milestone	Conceptual Importance & Exam Relevance
2024 (UPPCS)	**Singapore** maintained its position as the largest source of Foreign Direct Investment (FDI) equity flows into India, following amendments to the **India–Mauritius Double Taxation Avoidance Agreement (DTAA)** that eliminated treaty-shopping via shell entities.	Explains the shift in foreign investment routing from Mauritius toward Singapore.
2023 (UPPCS)	The **PM Gati Shakti National Master Plan** was officially launched on **13 October 2021** (not in 2022) to integrate infrastructure development across **seven institutional engines**.	Critical launch year and structural component question.
2022 (UPPCS)	The **Make in India** program was inaugurated on **25 September 2014** with the primary objective of transforming India into a global manufacturing hub and facilitating domestic and foreign investment.	Tests inaugural timeline, primary objectives, and policy pillars.
2021 (UKPCS)	The revised **composite classification criteria for MSMEs** (combining both investment in plant/machinery and annual turnover) came into legal effect on **1 July 2020**, eliminating the former distinction between manufacturing and services.	Landmark statutory classification framework.
2025 Revision	Effective **1 April 2025**, the Government of India revised MSME thresholds upward: Micro (Investment ≤ ₹2.5 cr / Turnover ≤ ₹10 cr); Small (Investment ≤ ₹25 cr / Turnover ≤ ₹100 cr); Medium (Investment ≤ ₹125 cr / Turnover ≤ ₹500 cr).	Highlights contemporary ceiling adjustments across enterprise categories.
Committee Chronology	Chronological succession of Small Scale Industry (SSI) committees: **Karve Committee (1955) → Nayak Committee (1991) → Abid Hussain Committee (1997) → S.S. Kohli Committee (2000)**.	High-frequency chronological ordering question in state civil service exams.

Confused Pairs

Concept A	Concept B	Conceptual Distinction & Mechanics	Key Memorization Anchor
Make in India Launch (2014)	**PM Gati Shakti Launch (2021)**	Make in India launched 25 September 2014 for manufacturing; Gati Shakti launched 13 October 2021 for infrastructure.	Make in India = 2014; Gati Shakti = 2021
Gati Shakti Launch Year	**2021 vs 2022 Trap**	Official launch date was 13 October 2021 (frequently misstated as 2022 in exam distractors).	Launch year: 2021
MSME 2020 Classification	**Pre-2020 Historical Split**	2020 criteria combine Investment + Turnover and treat manufacturing and services identically.	2020 = Composite Investment + Turnover
MSME 2020 Ceilings	**MSME 2025 Revised Ceilings**	2020: Micro ₹1cr/₹5cr; 2025: Micro ₹2.5cr/₹10cr. Check question year benchmark.	2020 = 1/10/50 cr; 2025 = 2.5/25/125 cr
Foreign Direct Investment (FDI)	**Foreign Portfolio Investment (FPI)**	FDI entails lasting management control (≥10% equity); FPI is passive portfolio investment in traded stocks.	FDI = Management control; FPI = Passive market trading
Disinvestment	**Strategic Disinvestment / Privatization**	Disinvestment sells minority equity; Strategic disinvestment transfers majority ownership (≥50%) and management control.	Disinvestment = Minority shares; Strategic = Management transfer
Cottage Industry	**Small Scale Enterprise**	Cottage units are home-based artisan activities; Small scale units utilize power machinery in distinct premises.	Cottage = Household artisans; Small = Power machinery factory

Concept A	Concept B	Conceptual Distinction & Mechanics	Key Memorization Anchor
Index of Industrial Production	**Construction & Utilities in IIP**	IIP measures Mining, Manufacturing, and Electricity; Construction, gas, and water supply are NOT in IIP.	Construction is NOT in IIP
Eight Core Industries	**Chemicals & Textiles**	Eight Core Industries comprise Refineries, Electricity, Steel, Coal, Crude, Gas, Cement, Fertilizers (No Chemicals or Textiles).	Chemicals & Textiles are NOT Core Industries
Bharatmala Pariyojana	**Sagarmala Programme**	Bharatmala develops highways, economic corridors, and logistics parks; Sagarmala develops ports and coastal trade.	Bharatmala = Roads/highways; Sagarmala = Ports/shipping

7.2 Micro, Small and Medium Enterprises (MSME) & Small-Scale Industry Architecture

Committee & Year	Chairman	Core Policy Recommendations & Systemic Significance
Karve Committee (1955)	D.G. Karve	**Village and Small-Scale Industries Committee**; emphasized the labor-absorbing capacity of small-scale industries and recommended product reservations to protect them from large mill competition during the 2nd Five-Year Plan.
Nayak Committee (1991)	P.R. Nayak	Examined working capital and institutional credit bottlenecks; recommended that commercial banks ensure working capital finance of at least **20% of projected annual turnover** to SSI units.
Abid Hussain Committee (1997)	Abid Hussain	Recommended the phased **dismantling and complete de-reservation of products** reserved exclusively for manufacture by small-scale industries to foster technological upgrading and global competitiveness.
S.S. Kohli Committee (2000)	S.S. Kohli	Constituted by RBI to formulate diagnostic parameters and financial restructuring mechanisms for **rehabilitating sick small-scale industrial units**.

7.4 Manufacturing Architecture, Industrial Sectors & Indices (IIP & Eight Core Industries)

Rank	Core Industry	Weight (%)	Conceptual & Industrial Anchor
1	**Refinery Products**	**28.04%**	Highest weight; primary fuel and feedstock for transport, power, and chemicals
2	**Electricity**	**19.85%**	Base energy driving industrial motors, commercial grids, and transport
3	**Steel**	**17.92%**	Foundational structural metal; India is 2nd largest crude steel producer globally
4	**Coal**	**10.33%**	Primary energy source for thermal power plants and steel blast furnaces
5	**Crude Oil**	**8.98%**	Domestic petroleum extraction (ONGC, OIL, offshore Bombay High)
6	**Natural Gas**	**6.88%**	Clean fuel and feedstock for urea fertilizer plants and City Gas Distribution (CGD)
7	**Cement**	**5.37%**	Core civil construction binder; India is 2nd largest cement producer in the world
8	**Fertilizers**	**2.63%**	Lowest weight; agricultural nutrients (Urea, DAP, complex NPK)

Bilingual Terminology – Industry, MSME & Infrastructure

English Term	Hindi Term	Key Conceptual Anchor
Industrialisation	औद्योगिकीकरण	Structural shift characterized by an expanding share of manufacturing in GVA and employment
Industrial Policy Resolution	औद्योगिक नीति संकल्प	Foundational government policy declaration governing industrial regulation (1948, 1956, 1991)
Commanding Heights	अर्थव्यवस्था के प्रमुख क्षेत्र	Core heavy industries (Schedule A of IPR 1956) reserved exclusively for State development

English Term	Hindi Term	Key Conceptual Anchor
Delicensing	लाइसेंस मुक्ति	Abolition of industrial licensing under New Industrial Policy 1991 (only 4 industries retained)
Cottage Industry	कुटीर उद्योग	Household-based, artisan-run production using traditional manual tools
Micro Enterprise	सूक्ष्म उद्यम	2020: Investment \le ₹1\text{ cr} & Turnover \le ₹5\text{ cr}; 2025: Investment \le ₹2.5\text{ cr} & Turnover \le ₹10\text{ cr}
Small Enterprise	लघु उद्यम	2020: Investment \le ₹10\text{ cr} & Turnover \le ₹50\text{ cr}; 2025: Investment \le ₹25\text{ cr} & Turnover \le ₹100\text{ cr}
Medium Enterprise	मध्यम उद्यम	2020: Investment \le ₹50\text{ cr} & Turnover \le ₹250\text{ cr}; 2025: Investment \le ₹125\text{ cr} & Turnover \le ₹500\text{ cr}
Priority Sector Lending	प्राथमिकता प्राप्त क्षेत्र ऋण	Mandatory lending quota (40\% for domestic SCBs) for MSMEs, agriculture, and export credit
Maharatna Status	महारत्न दर्जा	Highest CPSE autonomy tier; net profit > ₹5,000\text{ cr}; can invest up to ₹5,000 crore without approval
Disinvestment	विनिवेश	Partial sale of government equity holdings in CPSEs without relinquishing management control
Strategic Disinvestment	रणनीतिक विनिवेश	Sale of majority equity (\ge 50\%) along with transfer of management control to a private buyer
Index of Industrial Production	औद्योगिक उत्पादन सूचकांक	Monthly physical volume index covering Manufacturing (77.63\%), Mining, and Electricity; NSO
Eight Core Industries	आठ प्रमुख उद्योग	Foundational infrastructure industries representing **40.27% of IIP**; Refinery Products is heaviest
Multi-Modal Connectivity	बहु-मॉडल कनेक्टिविटी	Integration of roads, rail, ports, and air into a seamless digital logistics network (PM Gati Shakti)
Greenfield Enterprise	ग्रीनफील्ड उद्यम	First-time commercial venture or new production facility (mandated under Stand-Up India)
Brownfield Asset	ब्राउनफील्ड परिसंपत्ति	Pre-existing operational infrastructure asset targeted for monetization (National Monetisation Pipeline)

Common Traps & High-Yield Conceptual Clarifications

- **Launch Dates Distinctions: Make in India was launched on 25 September 2014**; **PM Gati Shakti was launched on 13 October 2021** (frequently misstated as 2022).
- **PM Gati Shakti Seven Engines:** Comprises **Roads, Railways, Airports, Ports, Mass Transport, Waterways, and Logistics Infrastructure**. Digital infrastructure and housing are not counted among the seven transport engines.
- **MSME Composite Criterion:** From 1 July 2020, MSME status is determined by **both investment and annual turnover**. Furthermore, **manufacturing and service enterprises are governed by identical thresholds**.
- **Eight Core Industries Exclusion:** The Eight Core Industries are Petroleum Refineries, Electricity, Steel, Coal, Crude Oil, Natural Gas, Cement, and Fertilizers. **Chemicals, textiles, and automobiles are not part of the Core Eight**.
- **Heaviest Core Industry: Refinery Products** carries the single highest weight (28.04%) in the Index of Eight Core Industries; **Fertilizers** carries the lowest weight (2.63%).
- **IIP Sector Coverage:** The IIP tracks **Mining, Manufacturing, and Electricity**. **Construction, agriculture, and gas/water supply are not included in IIP**.
- **SSI Committee Chronological Order:** 1. **Karve Committee:** 1955 2. **Nayak Committee:** 1991 3. **Abid Hussain Committee:** 1997 4. **S.S. Kohli Committee:** 2000
- **Foreign Steel Plant Collaborations:**
- Bhilai = USSR (1955)

- Rourkela = Germany (1959)
- Durgapur = United Kingdom (1959)
- Bokaro = USSR (1964)
- **First Export Processing Zone (EPZ):** Asia's first EPZ was established at **Kandla, Gujarat in 1965**.
- **NIIF Administrative Placement:** The National Investment and Infrastructure Fund is established under the **Ministry of Finance (DEA)**, not under NITI Aayog. Its targeted corpus was ₹40,000 crore.
- **National Infrastructure Pipeline Horizon:** Covers the planned horizon of **FY 2020–2025** (not 2020–2030).
- **Leading FDI Destination Sector:** The **Services Sector** accounts for the highest cumulative foreign direct investment equity flows into India.

Topic 8 — Employment, Poverty, Human Capital and Social Economy

Current Affairs & Key Indicators

Year / Index	Key Development & Metric	Core Analytical & Policy Significance
Human Development Report (HDR 2025)	India ranked **130th** (HDI value ≈ 0.644); life expectancy at birth reached **72.0 years** (up from 58.6 years in 1990).	Reflects long-term gains in child survival and longevity; knowledge and income components remain areas for policy intervention.
World Happiness Report 2026	India ranked approximately **116th** globally in subjective well-being.	Evaluates subjective well-being and social support; distinct from the composite capability framework of the HDI.
Multidimensional Poverty Index (MPI)	Introduced in **2010** by UNDP and OPHI, replacing the Human Poverty Index (HPI, 1997).	Measures acute non-monetary deprivations across health, education, and living standards; does not use income poverty lines.
Poverty Social Indicators	Core indicators encompass illiteracy, lack of drinking water, sanitation, and joblessness.	Evaluates capability deprivations; dwelling floor area or size of house is not treated as a social indicator of poverty.
Inaugural HDR (1990)	Led by Pakistani economist **Mahbub ul Haq** with conceptual support from **Amartya Sen**.	Shifted the development paradigm from national income accounting to people-centric human capability expansion.
Human Capital Returns	Public and private investment in education and healthcare enhances human capital.	Directly elevates labor productivity, technological adoption, and lifetime earning capacity.
HDI Dimensions	Computed from three core dimensions: **health, education, and standard of living**.	Measures life expectancy, schooling years, and GNI per capita; environmental quality is not an included indicator.
Demographic Dividend	Defined by a high share of working-age population (**15–59 years** in Indian planning convention).	Represents a transitory window of economic growth potential requiring investments in health, skills, and employment.
Historical Poverty Line	**Dadabhai Naoroji** formulated the earliest poverty line using the **jail cost of living**.	Estimated subsistence consumption requirements in pre-Independence India (*Poverty and Un-British Rule in India*).

Confused Pairs

Concept A	Concept B	Core Conceptual Distinction
Monetary / Income Poverty	**Multidimensional Poverty Index (MPI)**	Income poverty tracks consumption or income against an absolute monetary line (USD 2.15/day or ₹816/₹1000); MPI measures acute deprivations across health, education, and living standards.
Human Poverty Index (HPI, 1997)	**Multidimensional Poverty Index (MPI, 2010)**	HPI used aggregate national-level deprivations; MPI evaluates simultaneous deprivations experienced at the individual household level.
Alagh Committee (1979)	**Tendulkar (2009) & Rangarajan (2014)**	Alagh based the poverty line exclusively on minimum calorie intake; Tendulkar and Rangarajan incorporated broader expenditure baskets including health, education, and clothing.
Core HDI Dimensions	**Environmental Quality**	HDI evaluates health, education, and income per capita; environmental sustainability is not an indicator within the standard HDI calculation.
Human Development Index (HDI)	**Physical Quality of Life Index (PQLI)**	HDI (UNDP, 1990) incorporates income alongside health and schooling; PQLI (Morris, 1970s) was an exclusively non-monetary index combining literacy, IMR, and life expectancy at age one.

Concept A	Concept B	Core Conceptual Distinction
Chronological Evolution of Welfare Metrics	**Historical Ordering**	Development metrics evolved sequentially: Per Capita Income (PCI) → Physical Quality of Life Index (PQLI, 1970s) → Human Development Index (HDI, 1990).
Amartya Sen's Capability Approach	**Basic Needs Approach**	Basic Needs focuses on providing a predefined commodity basket; the Capability Approach focuses on expanding individuals' substantive freedoms and capabilities to lead lives they value.
Gross National Happiness (GNH)	**Gross National Product (GNP)**	GNH (Bhutan) measures holistic qualitative well-being across cultural, environmental, and governance pillars; GNP measures total monetary output of a nation's citizens.
World Happiness Report Rank	**Human Development Index Rank**	World Happiness ranks subjective life evaluations using survey data; HDI ranks objective composite capabilities (longevity, education, and GNI per capita).
Highest State HDI (Kerala)	**Lowest State HDI (Bihar)**	Kerala ranks consistently at the top due to high literacy and public health investments; Bihar has historically registered the lowest scores on education and health indicators.
Bare Necessities Index (BNI)	**Scope and Dimensions**	BNI utilizes 26 indicators across 5 dimensions (water, sanitation, housing, micro-environment, other facilities) across 2012 and 2018 data, rather than six dimensions.
Demographic Dividend (15–59)	**UN Working-Age Classification (15–64)**	Indian demographic and planning literature historically designates 15–59 years as the productive working-age bracket; UN international standards frequently designate 15–64 years.
Natural Population Growth	**Net Migration**	Natural growth is determined exclusively by Crude Birth Rate minus Crude Death Rate (CBR − CDR); total population growth includes net migration.
Demographic Great Divide (1921)	**Demographic Take-off (1951)**	The decade 1911–1921 was the only Census period in modern Indian history showing negative decadal growth (−0.31%); post-1921 marked continuous, accelerating population growth.
First Synchronous Census (1881)	**Initial Non-Synchronous Census (1872)**	Lord Mayo initiated the first non-synchronous Census across parts of India in 1872; Lord Ripon oversaw the first comprehensive, synchronous all-India Census in 1881.
Densest State in 2011 (Bihar)	**Densest State in 2001 (West Bengal)**	Bihar recorded 1,106 persons/sq km in the 2011 Census to become the densest State, overtaking West Bengal (903 persons/sq km in 2001; 1,028 in 2011).
Negative Decadal Growth (Nagaland, 2011)	**Lowest Positive Growth (Kerala)**	Nagaland was the sole State to record a negative decadal growth rate (−0.6%) in Census 2011; Kerala recorded the lowest positive decadal growth among major States (+4.9%).
Most Urbanized State by Share (Goa)	**Largest Urban Population in Absolute Numbers (Maharashtra)**	Goa has the highest percentage of urban population (~62.2%); Maharashtra holds the largest absolute urban population in India.
Census Town Criteria	**Physical Municipal Expansion**	A Census Town must meet: population ≥ 5,000, ≥ 75% of male main workforce in non-agricultural pursuits, and density ≥ 400 persons/sq km; geographic expansion alone does not qualify.
JNNURM (2005)	**Programme Horizon & Scope**	JNNURM was a 7-year mission (2005–2012) targeting urban infrastructure and basic services to the urban poor; it was not a 10-year rural electrification scheme.
World Population Day (11 July)	**Other UN Observances**	Established to commemorate Five Billion Day (11 July 1987), focusing on global population dynamics and reproductive rights.
UNFPA State of World Population	**Other Multilateral Reports**	Published annually by the United Nations Population Fund (UNFPA); distinct from UNDP's Human Development Report or World Bank's World Development Report.

Concept A	Concept B	Core Conceptual Distinction
Densest Continent (Asia)	**Fastest Growing Continent (Africa)**	Asia holds the highest overall population density; Africa records the highest annual population growth rate globally.
Disguised Unemployment	**Seasonal Unemployment**	Disguised unemployment involves continuous surplus labor with zero marginal product; seasonal unemployment occurs cyclically during off-seasons.
Labour Force Participation Rate (LFPR)	**Unemployment Rate (UR)**	LFPR measures the labor force (employed + job seekers) as a share of total population; UR measures the unemployed as a percentage of the labor force only.
Social Indicator: Housing Quality	**Size of House (Floor Area)**	Housing quality refers to durable wall, roof, and flooring materials; floor area or room count is not considered a social indicator of poverty.
Dadabhai Naoroji's Estimate	**Tendulkar Committee Line**	Naoroji calculated an early colonial subsistence line using prisoner diet costs; Tendulkar formulated a modern consumption basket based on NSSO mixed reference periods.
Human Capital	**Physical Capital**	Human capital is embodied in human capabilities through education and health; physical capital consists of man-made physical tools, plants, and machinery.
Social Capital	**Human Capital**	Social capital represents collective trust, social norms, and community networks; human capital represents individual productive skills and health status.
Brundtland Report (*Our Common Future*, 1987)	***The Limits to Growth* (Club of Rome, 1972)**	Brundtland formalized sustainable development as inter-generational equity; *Limits to Growth* modeled resource depletion and ecological overshoot using system dynamics.
Inclusive Growth	**High GDP Growth Rate Alone**	Inclusive growth emphasizes broad-based participation, employment creation, and equitable income distribution, which aggregate GDP growth alone does not ensure.
Physical Infrastructure Investment	**Direct Human Capital Formation**	Irrigation, power grids, and highways build physical capital; schooling, vocational training, and primary healthcare build human capital.
Agenda 21 Adoption Year	**Earth Summit Milestone**	Adopted at the Rio United Nations Conference on Environment and Development (UNCED) in 1992, not 1995.
Aspirational Districts Programme (ADP, 2018)	**Aspirational Blocks Programme (ABP, 2023)**	ADP covers 112 underdeveloped districts across 49 KPIs; ABP covers 500 underdeveloped administrative blocks.
PM-JAY Health Cover	**Per-Family vs Per-Individual Basis**	PM-JAY provides financial coverage of ₹5 lakh per eligible family per year, rather than ₹5 lakh per person.
PMKVY Nodal Ministry	**Ministry of Labour vs MSDE**	Pradhan Mantri Kaushal Vikas Yojana is the flagship scheme of the Ministry of Skill Development and Entrepreneurship (MSDE), not the Ministry of Labour.
NRHM Launch Year	**Five-Year Plan Period**	Launched on 12 April 2005 during the Tenth Five-Year Plan (2002–2007), not the Eleventh Plan.
RSBY Target Beneficiaries	**Unorganised vs Organised Sector**	Rashtriya Swasthya Bima Yojana provided health insurance to unorganised sector BPL families; subsequently subsumed under PM-JAY.
Swadhar Scheme	**Swayam Siddha Scheme**	Swadhar provides shelter, food, and rehabilitation to women in difficult circumstances; Swayam Siddha focused on self-help group-based women empowerment.
Bharat Nirman Components	**Six Infrastructure Components**	Bharat Nirman (2005) covered six specific rural infrastructure sectors: roads, water, housing, telephony, electricity, and irrigation; it excluded schools, sanitation, and hospitals.

Concept A	Concept B	Core Conceptual Distinction
Skill Schemes (STRIVE, SANKALP, SHREYAS)	**STRIDE Scheme (UGC)**	STRIVE and SANKALP are skill initiatives under MSDE; STRIDE is a university research scheme administered by the University Grants Commission (UGC).
PAHAL Scheme	**Direct Benefit Transfer World Record**	PAHAL (DBTL for LPG) holds the Guinness World Record as the world's largest cash-transfer direct benefit scheme.
SGSY (1999)	**NRLM (2011) / DAY-NRLM (2016)**	Swarnajayanti Gram Swarozgar Yojana restructured IRDP into an SHG scheme; restructured into NRLM in 2011 and renamed DAY-NRLM in 2016.
MGNREGA Household Guarantee	**Individual Entitlement**	MGNREGA legally guarantees 100 days of unskilled wage work per rural household per financial year, not 100 days per individual adult.
NREGA Notification vs MGNREGA Renaming	**Legislative Timeline**	Enacted in 2005, brought into force on 2 February 2006; formally renamed Mahatma Gandhi NREGA on 2 October 2009.
SJSRY (Urban Focus)	**Rural Employment Schemes**	Swarna Jayanti Shahari Rozgar Yojana (1997) was specifically designed for urban self-employment and wage employment, distinct from rural programs.
Atal Pension Yojana (APY)	**Spouse Pension Entitlement**	In the event of the subscriber's demise, the pension continues automatically to the surviving spouse; family members are not excluded from benefits.
PM Shram Yogi Maan-dhan (PM-SYM)	**Family Pension Beneficiary**	Upon the death of the pensioner, 50% family pension is payable exclusively to the surviving spouse; other dependents do not qualify.
Swachh Bharat Mission (SBM)	**Jal Jeevan Mission (JJM)**	SBM focuses on sanitation, solid waste management, and Open Defecation Free (ODF) status; JJM focuses on functional piped household tap water.
National Social Assistance Programme (NSAP)	**Target Social Groups**	NSAP (1995) administers national old-age, widow, and disability pensions; it does not include agricultural livelihood schemes like Mahila Kisan Sashaktikaran.

📋 High-Yield Summary Table — Indices, Demography, and Welfare Missions

Policy Concept / Mission	Key Milestone & Structural Dimension
Inaugural Human Development Report	Published in **1990** by UNDP; spearheaded by **Mahbub ul Haq**.
Core HDI Dimensions	**Life expectancy at birth**, **mean & expected years of schooling**, and **GNI per capita (PPP USD)**.
Physical Quality of Life Index (PQLI)	Developed by **Morris D. Morris** (mid-1970s); composite of literacy, IMR, and life expectancy at age 1.
Development Metrics Chronology	**Per Capita Income (PCI) → PQLI → Human Development Index (HDI)**.
Capability Approach	Propounded by **Amartya Sen**; defines poverty as capability deprivation.
Gender Inequality Index (GII)	Introduced in **HDR 2010**; covers reproductive health, empowerment, and labor participation.
Gross National Happiness (GNH)	Formulated by **Bhutan (1972)** as an alternative to GDP-based growth metrics.
State Human Development Reports	**Madhya Pradesh** published India's first State HDR in **1995**; **Kerala** leads in HDI values.
Bare Necessities Index (BNI)	Economic Survey 2020–21; **26 indicators** across **5 dimensions** for 2012 and 2018.
Human Poverty Index to MPI	**HPI (1997)** was replaced by the **Multidimensional Poverty Index (2010)**.
Global MPI Dimensions	Three equally weighted dimensions: **Health**, **Education**, and **Standard of Living** (10 indicators).
Alagh Committee Poverty Line	Recommended poverty line based strictly on calorie intake: **2,400 rural / 2,100 urban kcal/day**.

Policy Concept / Mission	Key Milestone & Structural Dimension
Demographic Dividend	Defined in Indian planning as the productive working-age bracket of **15–59 years**.
Disguised Unemployment	Surplus workforce with zero or near-zero marginal productivity, characteristic of Indian agriculture.
Social Indicator Exception	**Size of house (floor area)** is not a social indicator of poverty.
Earliest Indian Poverty Line	**Dadabhai Naoroji** utilized the **jail cost of living** in pre-Independence estimates.
Sustainable Development Definition	Brundtland Commission (*Our Common Future*, **1987**); inter-generational equity.
The Limits to Growth	Published by the **Club of Rome (1972)**, authored by Donella Meadows and team.
Social Capital	The aggregate of mutual trust, collective norms, and social networks facilitating cooperation.
Human Capital Index (World Bank)	**Singapore** ranked 1st in the 2020 index; India scored approximately 116th.
Aspirational Districts Programme (ADP)	Launched by **NITI Aayog** in **January 2018**; monitors **112 districts** across **49 KPIs**.
Aspirational Blocks Programme (ABP)	Launched in **January 2023** covering **500 underdeveloped blocks**.
Ayushman Bharat – PM-JAY	Launched on **23 September 2018** at Ranchi; ₹5 lakh per family per year; implemented by **NHA**.
Ayushman Bharat Digital Mission (ABDM)	Launched **September 2021**; voluntary participation; provides national health record portability.
Rashtriya Swasthya Bima Yojana (RSBY)	Launched in **2008** for unorganised BPL workers; subsequently integrated into PM-JAY.
National Rural Health Mission (NRHM)	Launched on **12 April 2005** during the Tenth Five-Year Plan; institutionalized ASHAs.
Mission Indradhanush	Launched on **25 December 2014**; targets universal full immunization for children and pregnant women.
POSHAN Abhiyaan	National Nutrition Mission; observed annually as **Rashtriya Poshan Maah** every **September**.
Integrated Child Development Services (ICDS)	Launched on **2 October 1975**; delivers six core health, nutrition, and pre-school services.
Pradhan Mantri Kaushal Vikas Yojana (PMKVY)	Flagship skill training program of the **Ministry of Skill Development & Entrepreneurship (MSDE)**.
Atal Innovation Mission (AIM)	Flagship initiative under **NITI Aayog** fostering innovation and entrepreneurship.
Pradhan Mantri Jan Dhan Yojana (PMJDY)	Launched on **28 August 2014**; comprehensive national mission for financial inclusion.
Pradhan Mantri Ujjwala Yojana (PMUY)	Launched on **1 May 2016** from **Ballia (Uttar Pradesh)**; provides deposit-free LPG connections.
Saubhagya Scheme	Launched on **25 September 2017** by the Ministry of Power for universal household electrification.
Beti Bachao Beti Padhao (BBBP)	Launched on **22 January 2015** at **Panipat (Haryana)** to address adverse child sex ratio.
Janani Suraksha Yojana (JSY)	Launched in **April 2005**; promotes institutional delivery through conditional cash transfers.
Bharat Nirman	Launched in **2005**; six infrastructure components: roads, water, housing, telecom, power, irrigation.
Jal Jeevan Mission (JJM)	Launched on **15 August 2019**; ensures functional household tap connections to all rural homes.
AMRUT Mission	Launched in **June 2015**; targets urban transformation across **500 cities** (>60% urban population).
Pradhan Mantri Gram Sadak Yojana (PMGSY)	Launched on **25 December 2000**; connects habitations with 500+ population (250+ in hill areas).
Shyama Prasad Mukherji Rurban Mission	Launched in **2016**; develops 300 commercially viable rural growth clusters.

Policy Concept / Mission	Key Milestone & Structural Dimension
Rural Livelihood Lineage	**IRDP (1980) → SGSY (1999) → NRLM (2011) → DAY-NRLM (2016)**.
MGNREGA Enactment & Rollout	Enacted **2005**, effective **2 February 2006**, renamed **2 October 2009**; 100 days/household.
Swarna Jayanti Shahari Rozgar Yojana (SJSRY)	Launched on **1 December 1997**; urban self-employment and wage employment program.
Community Development Programme (CDP)	Launched on **2 October 1952** under the leadership of **S.K. Dey**.
Atal Pension Yojana (APY)	Launched on **9 May 2015**; guaranteed monthly pension for unorganised sector workers; spouse pension.
PM Shram Yogi Maan-dhan (PM-SYM)	Old-age pension for unorganised workers earning ≤ ₹15,000; entry age 18–40; ₹3,000/month post 60.
Swachh Bharat Mission (SBM)	Launched on **2 October 2014**; achieved Open Defecation Free (ODF) target by 2 October 2019.
SVAMITVA Scheme	Ministry of **Panchayati Raj**; drone mapping and CORS technology for rural property titles.
Pradhan Mantri Awas Yojana (PMAY)	Launched in **June 2015**; targets Housing for All; includes Urban (PMAY-U) and Gramin (PMAY-G).

Common Traps

Common Traps & High-Yield Exam Distinctions

- **HDI Indicators:** The Human Development Index comprises life expectancy, schooling years, and GNI per capita; environmental quality and civil liberties are excluded from the HDI formula.
- **Inaugural HDR Team:** The first Human Development Report (1990) was spearheaded by Mahbub ul Haq and Amartya Sen; S. Priesner was not a co-leader.
- **Historical Metric Sequence:** Development metrics evolved chronologically: Per Capita Income (PCI) → Physical Quality of Life Index (PQLI, Morris, 1970s) → Human Development Index (HDI, 1990).
- **Gross National Happiness vs HDI:** Gross National Happiness is Bhutan's distinct four-pillar governance philosophy; the World Happiness Report is a separate subjective well-being survey published by SDSN.
- **State HDI Rankings:** Madhya Pradesh published India's first State HDR in 1995; Kerala consistently records the highest State HDI, while Bihar historically occupies the lowest tier.
- **Bare Necessities Index (BNI):** Evaluates 26 indicators grouped across five dimensions (water, sanitation, housing, micro-environment, other facilities) using 2012 and 2018 data.
- **Poverty Social Indicators:** Core social indicators include illiteracy, malnutrition, lack of drinking water, and lack of employment; "size of house" is not a social indicator of poverty.
- **Early Indian Poverty Line:** Dadabhai Naoroji utilized the "jail cost of living" to formulate the earliest subsistence poverty line in pre-Independence India.
- **Alagh Task Force Calorie Norms:** Established the official nutritional benchmark at 2,400 kcal/day for rural areas and 2,100 kcal/day for urban areas.
- **Demographic Dividend Age Group:** In Indian economic and planning conventions, the working-age population driving the demographic dividend is 15 to 59 years (distinguished from the 15 to 64 years UN standard).
- **Natural Population Growth:** Determined exclusively by Crude Birth Rate minus Crude Death Rate (CBR − CDR); migration is not an element of natural increase.

- **Demographic Great Divide:** The 1921 Census is the Demographic Great Divide due to negative decadal growth (−0.31%); synchronous decennial censuses began in 1881 under Lord Ripon.
- **Population Density Leader:** Bihar is the densest State in Census 2011 (1,106 persons/sq km); West Bengal was the densest in Census 2001.
- **Decadal Population Growth (2001–2011):** National decadal growth was 17.70%; Meghalaya recorded the highest State growth, while Nagaland was the only State with negative growth (−0.58%).
- **Malthusian Population Theory:** Population increases in geometric progression while food supply expands in arithmetic progression; Malthus advocated preventive checks (moral restraint, birth control) over positive checks (famines, disease).
- **Census Town Criteria:** Requires a minimum population of 5,000, at least 75% male non-agricultural workers, and density of 400+ persons/sq km; spatial urban sprawl alone does not constitute a Census Town.
- **Urban Hierarchy:** Goa has the highest urban proportion (~62%), while Maharashtra has the largest absolute urban population; Himachal Pradesh is the least urbanized State.
- **JNNURM Mission Parameters:** Launched in December 2005 as a 7-year urban renewal mission; it was not a 10-year rural electrification program.
- **World Population Day:** Observed on 11 July, commemorating Five Billion Day in 1987; the global population crossed 8 billion in November 2022.
- **Unemployment Concepts:** Disguised unemployment involves surplus workers with zero marginal product; seasonal unemployment fluctuates with annual crop or tourism seasons.
- **Human Capital Formation:** Public investment in education and healthcare builds human capital by directly augmenting labor productivity; physical infrastructure investments (e.g., irrigation canals) build physical capital.
- **Sustainable Development Benchmarks:** Brundtland Commission (*Our Common Future*, 1987) established inter-generational equity; *The Limits to Growth* (Club of Rome, 1972) modeled ecological carrying capacity boundaries.
- **Aspirational Districts vs Blocks:** The Aspirational Districts Programme (ADP) covers 112 districts (launched January 2018); the Aspirational Blocks Programme (ABP) covers 500 blocks (launched January 2023).
- **Ayushman Bharat – PM-JAY Coverage:** Provides health assurance of ₹5 lakh per family per year (not per individual), implemented by the National Health Authority (NHA).
- **National Rural Health Mission (NRHM):** Launched on 12 April 2005 during the Tenth Five-Year Plan; ASHAs facilitate maternal and child health linkages but do not conduct deliveries independently.
- **Skill Development Flagships:** PMKVY is administered by the Ministry of Skill Development and Entrepreneurship (MSDE), not the Ministry of Labour; STRIDE is a university research scheme under the UGC.
- **Rural Livelihood Lineage:** IRDP (1980) → SGSY (1999) → NRLM (2011) → DAY-NRLM (2016); operates through women's SHGs and skill development rather than distributing free agricultural machinery.
- **MGNREGA Core Guarantee:** Guarantees 100 days of unskilled wage work per rural household per year as a legal entitlement; enacted in 2005, effective 2 February 2006, renamed 2 October 2009.
- **Atal Pension Yojana (APY):** Targets unorganised sector workers; upon the subscriber's demise, the monthly pension continues automatically to the surviving spouse.
- **Swachh Bharat Mission (SBM):** Focuses on universal sanitation, hygiene, and ODF status (launched 2 October 2014); distinct from the piped drinking water mandate of the Jal Jeevan Mission.
- **Multidimensional Poverty Index (MPI):** Evaluates non-monetary deprivations across 10 indicators; distinct from the World Bank's monetary extreme poverty line (USD 2.15/day).

Topic 9 — External Sector, Foreign Trade and Global Economy

Current Affairs & Key Indicators

Year / Topic	Key Development & Core Metric	Analytical & Policy Significance
BoP Current Account Scope	Merchandise trade (export and import of physical goods) is recorded on the **Current Account**.	Foreign Direct Investment (FDI), External Commercial Borrowings (ECBs), and IMF facilities are classified under the Capital/Financial Account.
Flexible Exchange Rate Mechanism	In a flexible or floating exchange rate regime, currency values are determined purely by market demand and supply of foreign exchange.	The central bank does not arbitrarily fix demand and supply; it participates only to moderate extreme, disorderly market volatility.
Global Remittances (World Bank)	Global remittance inflows rank: **1. India, 2. Mexico, 3. China, 4. Philippines**.	Remittances represent unrequited private current transfers, acting as a vital counterbalance against India's merchandise trade deficit.
Foreign Direct Investment Inflows	**Singapore** and the **United States** consistently rank among the top sources of FDI equity inflows into India.	Shifted away from legacy tax-haven routing (Mauritius) following the introduction of GAAR and Double Taxation Avoidance Agreement (DTAA) amendments.
FEMA Legislative Milestones	The Foreign Exchange Management Act (FEMA) was enacted in **1999** and came into legal force on **1 June 2000**.	Replaced the penal, control-oriented Foreign Exchange Regulation Act (FERA, 1973) with a civil, trade-facilitation framework.
Regulatory Architecture of FERA	FERA (1973) was formulated to conserve scarce foreign exchange reserves during balance of payments crises.	It was not an external-debt liability statute; contraventions under FERA were criminalized, whereas FEMA treats violations as civil offenses.
WTO 13th Ministerial Conference (MC-13)	Convened in **Abu Dhabi (United Arab Emirates)** from 26 February to 1 March 2024.	Extended the electronic transmission customs duty moratorium; formally admitted **Comoros (165th)** and **Timor-Leste (166th)** as new member states.
WTO 14th Ministerial Conference (MC-14)	Formally decided to be hosted in **Yaoundé, Cameroon in 2026**.	**Second WTO Ministerial Conference in history to be hosted on African soil** (following MC-10 Nairobi in 2015). Permanent WTO HQ remains in Geneva (Switzerland).

Confused Pairs

Concept A	Concept B	Core Conceptual Distinction
Balance of Trade (BoT)	**Balance of Payments (BoP)**	BoT tracks merchandise trade in physical goods only; BoP is a complete record of all external transactions across goods, services, income, transfers, and capital flows.
Trade Deficit	**Current Account Deficit (CAD)**	Trade deficit measures the net shortfall in visible goods exports; CAD measures the net balance across visible trade, services, primary income, and private transfers combined.
Current Account	**Capital Account**	Current Account records ongoing consumption and income flows (goods, services, remittances); Capital Account records asset transfers and financial liabilities (FDI, FPI, loans).
Foreign Direct Investment (FDI)	**Foreign Portfolio Investment (FPI)**	FDI entails long-term equity investment accompanied by active managerial control (≥10% equity); FPI represents passive financial holdings in equity/debt markets without management control.
Currency Depreciation / Appreciation	**Currency Devaluation / Revaluation**	Depreciation and appreciation occur through market supply and demand forces under a floating regime; devaluation and revaluation represent deliberate administrative adjustments under a fixed regime.

Concept A	Concept B	Core Conceptual Distinction
Floating / Flexible Exchange Rate	**Fixed / Pegged Exchange Rate**	Floating rates fluctuate continuously based on market supply and demand; fixed rates are legally pegged to an anchor currency and defended through central bank interventions.
FERA (1973)	**FEMA (1999)**	FERA was a restrictive, criminal statute focused on conserving scarce foreign exchange; FEMA is a trade-facilitating civil statute governing orderly foreign exchange management.
FEMA Enactment Date (1999)	**FEMA Enforcement Date (1 June 2000)**	FEMA received Presidential assent as Act 42 of 1999; the statute officially took legal effect and was operationalized on 1 June 2000.
Tariff Barriers	**Non-Tariff Barriers (NTBs)**	Tariffs are direct ad-valorem or specific border customs duties; NTBs are non-tax regulatory hurdles including import quotas, import licenses, and technical standards.
WTO Permanent Headquarters (Geneva)	**Ministerial Conference Venues (Rotating)**	The WTO Secretariat is permanently stationed in Geneva, Switzerland; Ministerial Conferences are hosted in rotating member states (e.g., MC-13 in Abu Dhabi 2024; MC-14 in Cameroon 2026).
WTO MC-13 (Abu Dhabi, UAE, 2024)	**WTO MC-14 (Yaoundé, Cameroon, 2026)**	MC-13 was hosted in Abu Dhabi (Feb–Mar 2024); MC-14 was officially awarded to Cameroon to be hosted in 2026 as the 2nd African host nation after Kenya (2015).
First African WTO Ministerial (MC-10, 2015)	**Second African WTO Ministerial (MC-14, 2026)**	MC-10 was hosted in Nairobi, Kenya (2015); MC-14 was designated for Yaoundé, Cameroon (2026) at the Abu Dhabi summit.
Private Inward Remittances	**Foreign Direct Investment (FDI)**	Remittances are unrequited secondary income transfers on the Current Account; FDI represents foreign capital equity investments recorded on the Capital Account.
Nominal Effective Exchange Rate (NEER)	**Real Effective Exchange Rate (REER)**	NEER measures the trade-weighted nominal value against partner currencies; REER adjusts NEER for inflation rate differentials, serving as the true measure of external competitiveness.

📋 High-Yield Summary Table — BoP, Foreign Exchange, and Trade Architecture

Macroeconomic Concept / Statute	Key Milestone & Analytical Parameter
Current Account Classification	Export and import of merchandise goods; commercial services; primary investment income; remittances.
Capital Account Classification	Foreign Direct Investment (FDI); Foreign Portfolio Investment (FPI); External Commercial Borrowings (ECBs); IMF credit.
Flexible Exchange Rate Determinant	Organic interaction of market demand and market supply of foreign exchange in foreign currency markets.
Flexible Exchange Rate Common Fallacy	The assertion that the central bank unilaterally determines demand and supply in a flexible regime is false.
Global Remittance Leaders (2022)	**1. India, 2. Mexico, 3. China, 4. Philippines** (World Bank Migration and Development Brief).
Currency Appreciation	An increase in the value of the domestic currency relative to foreign currencies under floating market mechanisms.
FEMA Enactment Year	**1999** (enacted by Parliament as Act 42 of 1999).
FEMA Date of Enforcement	**1 June 2000** (officially replaced FERA 1973).
FERA Characterization Fallacy	The assertion that FERA was primarily an external-debt liability law is false; it was a foreign exchange control statute.
WTO 13th Ministerial Conference (MC-13)	Held in **Abu Dhabi, United Arab Emirates (UAE)** in February–March 2024; admitted Comoros & Timor-Leste.

Macroeconomic Concept / Statute	Key Milestone & Analytical Parameter
WTO 14th Ministerial Conference (MC-14)	Formally scheduled for **2026 in Yaoundé, Cameroon** (2nd MC hosted in Africa after Nairobi 2015).
WTO Permanent Seat	Headquartered in **Geneva, Switzerland**; membership: 166 sovereign states and customs territories.
WTO Dispute Settlement	Operates a legally binding Dispute Settlement Mechanism resolving international commercial disputes.
India's Current Account Convertibility	Formally accepted under **Article VIII of the IMF in August 1994**.
Tarapore Committees on Full CAC	Formed in **1997 and 2006** to outline fiscal and banking prerequisites for capital account convertibility.
Foreign Exchange Reserves Composition	Foreign Currency Assets (FCA) + Gold + Special Drawing Rights (SDRs) + Reserve Tranche Position (RTP).
India's Foreign Trade Policy (FTP 2023)	Adopted by DGFT; targets **USD 2 trillion in total exports by 2030** through remission and facilitation.

9.1 International Trade, Balance of Trade, and Balance of Payments

Trade Deficit vs Current Account Deficit (CAD)

- The **trade deficit** measures only the shortfall in visible merchandise trade (Exports − Imports).
- The **Current Account Deficit (CAD)** represents the net deficit of the entire current account after offsetting the merchandise trade gap against invisible services exports, primary income, and private remittances.
- Financing a CAD requires net capital inflows (through FDI, FPI, or foreign borrowings) or a compensatory drawdown of official foreign exchange reserves.

Q-EC1. UPPCS (Pre) 2024

Which of the following is included in the current account of the Balance of Payments?

A. Foreign Direct Investment B. External Commercial Borrowings C. Export and import of goods D. IMF loans

9.2 Foreign Exchange Reserves, Exchange Rate Regimes, and Convertibility

Exchange Rate Regimes

Exchange Rate Regime	Determining Mechanism & Operational Parameters
Flexible / Floating	The exchange rate is determined entirely by the unconstrained interplay of market demand and market supply in foreign currency markets.
Fixed / Pegged	The exchange rate is officially pegged by the monetary authority to an anchor currency (e.g., US dollar) or currency basket, defended through official intervention.
Managed Float ("Dirty Float")	The exchange rate is primarily market-driven, but the central bank actively intervenes (buying/selling forex) to dampen excessive volatility and maintain macro stability.

9.3 Capital Flows — FDI, FPI, Remittances, and External Debt

Foreign Direct Investment (FDI) vs Foreign Portfolio Investment (FPI)

- **Foreign Direct Investment (FDI):**
- Entails long-term capital investment by a non-resident entity in an enterprise located in another country, accompanied by active management control or substantial influence (at least 10% voting equity).
- Inflows take the form of equity capital, reinvested earnings, and intra-company loans.
- Brings advanced production technology, managerial expertise, and integration into global value chains.
- Entry Routes in India: **Automatic Route** (no prior government or RBI approval required) and **Government Approval Route** (scrutinized by respective administrative ministries).
- **Foreign Portfolio Investment (FPI):**
- Involves passive purchases of financial securities (shares, corporate debt, sovereign bonds) traded on domestic stock exchanges without acquiring management control.
- Characterized by high market liquidity and short investment horizons, making it susceptible to rapid capital reversals ("hot money").

9.4 Trade Barriers, World Trade Organization (WTO), and Global Integration

World Trade Organization (WTO) — Architecture, Agreements, and Summitry

Conference	Year	Host City & Nation	Key Policy Outcome & High-Yield Exam Takeaway
MC-1	**1996**	**Singapore**	First Ministerial Conference; introduced the **Four Singapore Issues**: Investment, Competition Policy, Transparency in Government Procurement, and Trade Facilitation.
MC-2	**1998**	**Geneva, Switzerland**	Marked the 50th anniversary of GATT 1947; adopted the landmark **Declaration on Global Electronic Commerce**, establishing a temporary customs duty moratorium on electronic transmissions.
MC-3	**1999**	**Seattle, United States**	The "Battle of Seattle" — crippled by massive anti-globalization street demonstrations and deep North–South policy deadlocks; ended without a ministerial declaration.
MC-4	**2001**	**Doha, Qatar**	Launched the **Doha Development Agenda (DDA)**; adopted the historic **Declaration on TRIPS and Public Health** (empowering compulsory licensing for public health); approved accessions of **China** and Chinese Taipei.
MC-5	**2003**	**Cancún, Mexico**	Developing nations formed the **G20 coalition on agriculture** (led by India, Brazil, and China) resisting developed nations' farm subsidies; three controversial Singapore issues were officially dropped (only Trade Facilitation was retained).
MC-6	**2005**	**Hong Kong**	Agreement reached to phase out all agricultural export subsidies by 2013; recognized the **Special Safeguard Mechanism (SSM)** for developing nations to defend domestic farmers against import surges.
MC-7	**2009**	**Geneva, Switzerland**	First ministerial following the 2008 global financial crisis; focused on resisting rising protectionism.
MC-8	**2011**	**Geneva, Switzerland**	Approved terms of accession for the **Russian Federation**, Samoa, and Montenegro.
MC-9	**2013**	**Bali, Indonesia**	The landmark **Bali Package**: Adopted the **Trade Facilitation Agreement (TFA)**; negotiated the **Peace Clause** protecting developing nations' public stockholding of food grains for food security (NFSA) against WTO Amber Box penalties.
MC-10	**2015**	**Nairobi, Kenya**	**First WTO Ministerial Conference held on African soil**; adopted the Nairobi Package, legally binding developed countries to immediately eliminate all agricultural export subsidies.

Conference	Year	Host City & Nation	Key Policy Outcome & High-Yield Exam Takeaway
MC-11	**2017**	**Buenos Aires, Argentina**	**First WTO Ministerial held in South America**; plurilateral Joint Statement Initiatives (JSIs) launched on e-commerce, investment facilitation, and MSMEs.
MC-12	**2022**	**Geneva, Switzerland**	Postponed from Kazakhstan due to COVID-19. Adopted the **Geneva Package**: landmark Agreement on **Fisheries Subsidies** (curbing IUU fishing); partial TRIPS patent waiver for COVID-19 vaccines; World Food Programme (WFP) purchases exempted from food export bans.
MC-13	**2024**	**Abu Dhabi, United Arab Emirates (UAE)**	Convened from 26 Feb to 1 Mar 2024, chaired by Dr. Thani bin Ahmed Al Zeyoudi. **Extended the moratorium on electronic transmissions** until MC-14; formally inducted **Comoros (165th)** and **Timor-Leste (166th)** as new WTO member states; **formally selected Cameroon to host the 14th Ministerial Conference**.
MC-14	**2026**	**Yaoundé, Cameroon**	**Second WTO Ministerial Conference in history to be hosted on African soil** (following MC-10 Nairobi in 2015); formally awarded to Cameroon at MC-13 in Abu Dhabi. Core agenda: Comprehensive dispute settlement mechanism restoration, permanent solution for public stockholding for food security, and digital commerce rules.

Common Traps

Common Traps & High-Yield Exam Distinctions

- **Current Account vs Capital Account:** Export and import of physical goods belong strictly to the Current Account; Foreign Direct Investment (FDI), External Commercial Borrowings (ECBs), and IMF facilities are classified under the Capital/Financial Account.
- **Trade Deficit vs Current Account Deficit:** The trade deficit measures the shortfall in visible merchandise trade only; the Current Account Deficit (CAD) is a broader metric encompassing goods, services, investment income, and private remittances.
- **Flexible Exchange Rate Mechanism:** Flexible exchange rates are determined by organic market supply and demand in foreign exchange markets; asserting that the central bank unilaterally determines demand and supply in a floating regime is false.
- **Exchange Rate Terminology:** Currency depreciation and appreciation occur through market mechanisms under a floating regime; currency devaluation and revaluation represent official administrative policy changes under a fixed/pegged regime.
- **Top Remittance Inflow Nations (2022):** Global remittance inflows rank: 1. India, 2. Mexico, 3. China, 4. Philippines (World Bank Migration and Development Brief).
- **FEMA Enactment vs Enforcement:** FEMA was enacted as Act 42 of 1999 and came into legal effect on 1 June 2000; FERA was a foreign exchange control statute, not an external-debt liability statute.
- **Foreign Capital Categories:** FDI involves long-term direct equity investment with active management control (≥10% voting equity); FPI represents passive financial holdings in equity/debt instruments without control; remittances are unilateral transfer receipts.
- **WTO Dispute Settlement:** The WTO operates an institutionalized Dispute Settlement Mechanism (DSM); asserting that the WTO lacks a procedure to arbitrate international trade disputes is factually incorrect.
- **WTO Ministerial Locations:** The permanent headquarters of the WTO is in Geneva, Switzerland, while Ministerial Conferences rotate globally (e.g., MC-13 in Abu Dhabi, UAE, 2024).
- **Currency Convertibility Standards:** India achieved full Current Account Convertibility in August 1994 (Article VIII of the IMF); Capital Account Convertibility remains calibrated and partial, guided by the Tarapore Committee recommendations.

Topic 10 — International Institutions, Groupings and Summits

Current Affairs & Key Indicators

Year / Grouping	Key Development & Core Parameter	Analytical & Policy Significance
Bretton Woods Headquarters	Both the **IMF** and the **World Bank** are permanently headquartered in **Washington D.C.**	Established simultaneously at the 1944 Bretton Woods Conference; neither institution is headquartered in New York (which hosts the UN Secretariat).
BIMSTEC Membership	Comprises seven littoral Bay of Bengal nations: Bangladesh, Bhutan, India, Myanmar, Nepal, Sri Lanka, and Thailand.	**Indonesia is not a member** of BIMSTEC (it is an ASEAN member). Permanent Secretariat is located in **Dhaka, Bangladesh**.
India's G20 Presidency (2023)	Official logo featured a sacred lotus with **seven petals**, symbolizing the **seven continents** and universal harmony.	Adopted the civilizational theme *Vasudhaiva Kutumbakam* ("One Earth, One Family, One Future"). The African Union was inducted as a permanent member.
G20 Host Cities in Uttar Pradesh	Official G20 working group and ministerial meetings in UP were hosted across **Varanasi, Agra, Lucknow, and Greater Noida**.	**Kanpur** was not among the designated venue cities during India's G20 Presidency.
G20 Summit Chronology (2023–2026)	18th in **New Delhi (India, 2023)** → 19th in **Rio de Janeiro (Brazil, Nov 2024)** → 20th in **South Africa (2025)** → 21st in **United States (2026)**.	Demonstrates the historic Global South Troika (Indonesia → India → Brazil → South Africa).
BRICS Kazan Summit & Expansion	16th Summit held in **Kazan, Russia (October 2024)** under theme *"Strengthening Multilateralism for Just Global Development and Security"*; integrated Egypt, Ethiopia, Iran, UAE, and introduced **13 Partner Countries**.	17th BRICS Summit hosted by **Brazil in 2025**.
SCO 10th Member & Astana Summit	**Belarus** officially inducted as the **10th member state** at the Astana Summit (Kazakhstan, July 2024).	Follows Iran's admission as the 9th member in 2023 under India's virtual chairmanship. 25th Summit in China (2025).
WTO Ministerial Conferences (MC-13 & MC-14)	MC-13 convened in **Abu Dhabi (UAE)** in Feb–Mar 2024; MC-14 officially scheduled for **Yaoundé, Cameroon in 2026**.	Cameroon is only the **second African nation** in WTO history to host a Ministerial Conference (following Kenya in 2015). Permanent HQ remains in Geneva.
5th & 6th BIMSTEC Summits	5th Summit hosted virtually by **Sri Lanka** (2022); 6th Summit convened in **Bangkok, Thailand (2024)**.	Addressed by Prime Minister Narendra Modi; Secretariat located in **Dhaka, Bangladesh**.
Institutional Secretariats	ASEAN Secretariat in **Jakarta**; SAARC Secretariat in **Kathmandu**; BIMSTEC Secretariat in **Dhaka**; OECD in **Paris**.	Critical match-list parameters frequently tested in State PSC Prelims examinations.

Confused Pairs

Institution / Concept A	Institution / Concept B	Core Structural Distinction
International Monetary Fund (IMF)	**World Bank (IBRD)**	The IMF focuses on international monetary stability, foreign exchange surveillance, and emergency BoP loans; the World Bank focuses on long-term development financing and poverty alleviation.
IBRD (World Bank)	**IDA (World Bank)**	IBRD provides market-based sovereign loans to creditworthy middle-income governments; IDA provides concessional interest-free loans and non-repayable grants to low-income nations.
International Finance Corporation (IFC)	**IBRD**	IFC provides loans, equity, and advisory services exclusively to private-sector enterprises; IBRD lends exclusively to sovereign national governments.

Institution / Concept A	Institution / Concept B	Core Structural Distinction
World Bank Headquarters	**United Nations Headquarters**	The World Bank and IMF are headquartered in Washington D.C.; the UN Secretariat is headquartered in New York City.
Asian Development Bank (ADB)	**Asian Infrastructure Investment Bank (AIIB)**	ADB was founded in 1966 and is headquartered in Manila, Philippines; AIIB was established in 2016 and is headquartered in Beijing, China.
New Development Bank (NDB)	**AIIB**	NDB is the BRICS-sponsored multilateral development bank headquartered in Shanghai; AIIB is a broader multilateral infrastructure bank headquartered in Beijing.
Coining of "BRIC" (2001)	**Accession of South Africa (2010)**	Jim O'Neill coined "BRIC" in 2001 as an analytical economic concept; South Africa officially joined the diplomatic grouping in 2010, creating "BRICS."
Inaugural BRIC Summit (2009)	**Inaugural BRICS Summit (2011)**	The first summit of Brazil, Russia, India, and China occurred in Yekaterinburg (2009); the first summit with South Africa took place in Sanya, China (2011).
ASEAN Secretariat (Jakarta)	**BIMSTEC Secretariat (Dhaka)**	ASEAN represents 10 Southeast Asian nations with its secretariat in Jakarta; BIMSTEC links 7 Bay of Bengal nations with its permanent secretariat in Dhaka.
SAARC Secretariat (Kathmandu)	**BIMSTEC Secretariat (Dhaka)**	SAARC coordinates 8 South Asian states with headquarters in Kathmandu; BIMSTEC coordinates 7 Bay of Bengal states with headquarters in Dhaka.
Indonesia	**Thailand**	Thailand is a member of both ASEAN and BIMSTEC; Indonesia is a member of ASEAN but not a member of BIMSTEC.
G20 Summitry	**G7 Summitry**	G20 represents 19 major advanced and emerging market economies, the European Union, and the African Union; G7 comprises seven advanced Western industrial economies.
G20 Lotus Motif (Seven Petals)	**G20 Member Count**	The seven petals on the G20 logo symbolize the seven continents of the earth, not the number of member states in the forum.
WTO MC-13 (Abu Dhabi 2024)	**WTO MC-14 (Yaoundé, Cameroon 2026)**	MC-13 was hosted in Abu Dhabi (UAE); MC-14 will be hosted in Cameroon in 2026 (2nd African host in WTO history after Kenya 2015).
SCO 9th Member (Iran 2023)	**SCO 10th Member (Belarus 2024)**	Iran was admitted in 2023 under India's virtual chairmanship; Belarus was admitted in July 2024 at the Astana Summit in Kazakhstan.

📋 High-Yield Summary Table — Multilateral Institutions and Groupings

Multilateral Body / Summit	Global Seat & Core Defining Milestone
Bretton Woods Conference	Convened in **July 1944**; established the IMF and IBRD (the Bretton Woods Twins).
IMF Headquarters	Permanently situated in **Washington D.C.**
World Bank Group Headquarters	Permanently situated in **Washington D.C.** (not New York).
IMF Lending Eligibility	Extends financial facilities **strictly to sovereign member countries** facing BoP distress.
World Bank "Soft-Loan Window"	**International Development Association (IDA)**, established in 1960.
Private-Sector Arm of World Bank	**International Finance Corporation (IFC)**, established in 1956.
Special Drawing Rights (SDR)	IMF reserve asset basket: **USD, EUR, CNY, JPY, GBP**.
Asian Development Bank (ADB)	Headquartered in **Manila (Mandaluyong), Philippines** (founded 1966).
Asian Infrastructure Investment Bank (AIIB)	Headquartered in **Beijing, China** (commenced 2016).
New Development Bank (NDB)	Headquartered in **Shanghai, China** (established by BRICS in 2014).
Originator of "BRIC" Term	**Jim O'Neill** (Goldman Sachs, 2001).
First BRIC Leaders' Summit	Convened in **2009** at **Yekaterinburg, Russia**.
BRICS Inclusion Year for South Africa	**2010** (attended its first summit at Sanya in 2011).
10th BRICS Summit Venue	Hosted in **Johannesburg, South Africa (2018)**.

Multilateral Body / Summit	Global Seat & Core Defining Milestone
16th BRICS Summit Venue (2024)	Hosted in **Kazan, Russia** (integrated 4 new members; introduced 13 partner countries); 2025 host is **Brazil**.
G20 Iconography (India 2023)	Sacred lotus featuring **seven petals** representing the **seven continents**.
UP G20 Host Hubs	**Varanasi, Agra, Lucknow, Greater Noida** (Kanpur was excluded).
Permanent Member Added to G20 (2023)	**African Union (AU)** admitted under India's Presidency.
G20 Summit Progression (2023–26)	**New Delhi (2023) → Rio de Janeiro, Brazil (2024) → South Africa (2025) → United States (2026)**.
G7 Summit Progression (2023–25)	**Hiroshima, Japan (2023) → Apulia, Italy (2024) → Kananaskis, Canada (2025)**.
ASEAN Central Secretariat	Located in **Jakarta, Indonesia**.
SAARC Permanent Secretariat	Located in **Kathmandu, Nepal** (established 1987).
First SAARC Summit in India	Hosted in **Bangalore (1986)** (the second SAARC summit historically).
BIMSTEC Non-Member Distinction	**Indonesia** is not a member; seven members are Bangladesh, Bhutan, India, Myanmar, Nepal, Sri Lanka, Thailand.
BIMSTEC Permanent Secretariat	Located in **Dhaka, Bangladesh** (inaugurated 2014).
5th & 6th BIMSTEC Summits	5th Summit chaired by **Sri Lanka** (2022); 6th Summit in **Bangkok, Thailand (2024)**.
Shanghai Cooperation Organisation (SCO)	Secretariat in **Beijing, China**; 10 members: founding 6 + India & Pakistan (2017) + **Iran (2023)** + **Belarus (2024)**.
Organisation for Economic Co-operation & Development	Headquartered in **Paris, France**.
WTO 13th & 14th Ministerial Conferences	MC-13 in **Abu Dhabi, UAE (2024)**; MC-14 in **Yaoundé, Cameroon (2026)** (2nd African host after Nairobi 2015).
World Economic Forum (WEF)	Headquartered in **Cologny (Geneva), Switzerland**; hosts annual meeting at Davos.
Publisher of Global Competitiveness Report	**World Economic Forum (WEF)**.
Publisher of World Economic Outlook	**International Monetary Fund (IMF)**.

10.1 The Bretton Woods Institutions — IMF and the World Bank Group

The World Bank Group (WBG)

Organization	Established	Primary Institutional Mandate & Operational Focus
IBRD (International Bank for Reconstruction and Development)	1944	Provides commercial-rate development loans and guarantees to creditworthy middle-income developing governments.
IDA (International Development Association)	1960	The World Bank's concessional "soft-loan window," providing zero-interest credits and non-repayable grants to low-income nations.
IFC (International Finance Corporation)	1956	Provides loans, equity financing, and advisory services directly to **private sector enterprises** in developing economies without sovereign guarantees.
MIGA (Multilateral Investment Guarantee Agency)	1988	Offers political risk insurance (expropriation, war, currency inconvertibility) to foreign investors and commercial lenders.
ICSID (International Centre for Settlement of Investment Disputes)	1966	Administers international arbitration and conciliation for disputes between foreign investors and sovereign states. India is not a member.

10.5 Regional Groupings — ASEAN, SAARC, BIMSTEC, and SCO

South Asian Association for Regional Cooperation (SAARC)

- Established on **8 December 1985** in Dhaka; permanent Secretariat located in **Kathmandu, Nepal** (opened 1987).
- Eight Member States: Afghanistan (joined 2007), Bangladesh, Bhutan, India, Maldives, Nepal, Pakistan, and Sri Lanka.
- The **first SAARC Summit in India** took place in **Bangalore in November 1986** (the second SAARC summit historically).

Common Traps

Common Traps & High-Yield Exam Distinctions

- **Bretton Woods Headquarters:** Both the International Monetary Fund (IMF) and the World Bank are located in Washington D.C.; New York City is the seat of the UN Secretariat.
- **IMF Lending Mandate:** IMF financial assistance is restricted strictly to sovereign member countries facing balance of payments difficulties; it does not lend to non-members or private corporations.
- **World Bank Institutional Wings:** IBRD lends to middle-income sovereign governments; IDA is the concessional "soft-loan window" for low-income nations; IFC lends directly to private-sector enterprises; ICSID arbitrates investment disputes (India is not a member).
- **Special Drawing Rights (SDR) Currency Basket:** Composed of five currencies: US Dollar, Euro, Chinese Renminbi, Japanese Yen, and British Pound Sterling.
- **MDB Headquarters Match-List:** Asian Development Bank (ADB) is in Manila; Asian Infrastructure Investment Bank (AIIB) is in Beijing; New Development Bank (NDB) is in Shanghai.
- **BRICS Timeline & Coining:** The term "BRIC" was coined by Jim O'Neill in 2001; the first summit was held in Yekaterinburg (2009); South Africa joined in 2010 (attending Sanya 2011).
- **G20 Logo Symbolism:** The sacred lotus on India's 2023 G20 logo features seven petals symbolizing the seven continents and universal musical notes; the theme was *Vasudhaiva Kutumbakam*.
- **G20 Host Cities in Uttar Pradesh:** Meetings were organized in Varanasi, Agra, Lucknow, and Greater Noida; Kanpur was excluded.
- **BIMSTEC Member Composition:** Seven members: Bangladesh, Bhutan, India, Myanmar, Nepal, Sri Lanka, and Thailand; Indonesia is an ASEAN member and is not in BIMSTEC.
- **BIMSTEC Secretariat vs Host:** The Permanent Secretariat is in Dhaka, Bangladesh; the 5th BIMSTEC Summit (2022) was chaired and hosted by Sri Lanka, not India.
- **SAARC Milestones:** Permanent Secretariat is in Kathmandu, Nepal; the first summit hosted in India took place in Bangalore in 1986.
- **Flagship Economic Reports:** Global Competitiveness Report is published by the World Economic Forum (WEF); World Economic Outlook is published by the IMF; World Development Report is published by the World Bank.

Topic 11 — Services, Cooperatives, Companies and Regulators

Current Affairs & Key Indicators

Parameter / Institution	Key Metric & Institutional Development	Analytical & Policy Significance
Macroeconomic GVA Composition	In India's Gross Value Added (GVA) at current prices, **Services account for ~54.4%**, Industry ~27.8%, and Agriculture & allied sectors ~17.9%.	Illustrates the structural dominance of the tertiary sector in national output, even as agriculture retains a disproportionately large share of employment.
Maximum Retail Price (MRP) Dynamics	MRP represents a statutory price ceiling; consumers possess the legal right to bargain and purchase **below the printed MRP**.	Retailers are legally prohibited from charging any amount exceeding the MRP, but nothing in law mandates selling exactly at that ceiling.
ECOMARC Environmental Label	India's national eco-label administered by the Bureau of Indian Standards (BIS) for **environmentally friendly consumer products**.	Denotes compliance with environmental safety standards; it does not signify pure technical quality (ISI) or agricultural purity (AGMARK).
Mandatory CSR Architecture	Enacted under **Section 135 of the Companies Act, 2013**, requiring qualifying firms to invest **at least 2% of three-year average net profits**.	India was the first country globally to mandate CSR spending by statute; there is no "Companies Act, 2014."
Ministry of Cooperation	Carved out as an independent Union administrative ministry in **July 2021** under the vision *Sahakar se Samriddhi*.	Institutionalizes dedicated federal administrative oversight for multi-state cooperatives, distinct from the Ministry of Agriculture.
International Financial Services Centres Authority (IFSCA)	Established under the IFSCA Act, 2019, headquartered at **GIFT City, Gandhinagar (Gujarat)**.	Serves as a unified regulator for financial products, financial services, and financial institutions in international financial centres.
Insurance Regulatory and Development Authority (IRDAI)	Established under the IRDA Act, 1999; permanently headquartered in **Hyderabad, Telangana**.	Protects policyholders' interests and regulates the growth of life and general insurance industries.

Confused Pairs

Concept A	Concept B	Core Conceptual Distinction
Tertiary Sector Activities	**Primary Resource Extraction**	Tertiary provides intangible services (trade, banking, transport); Primary extracts raw natural resources (agriculture, forestry, fishing, mining).
Agricultural Storage & Logistics	**Secondary Industrial Manufacturing**	Warehousing and storing harvested crops is classified as tertiary logistics; processing raw crops in mills or factories is secondary manufacturing.
Construction in National Accounts	**Services Sector Classification**	In official GVA accounting, construction is classified under the Secondary (Industry) sector alongside manufacturing and mining; it is not counted under Services.
Companies Act, 2013	**Companies (CSR Policy) Rules, 2014**	The parent legislation mandating CSR is the Companies Act, 2013 (Section 135); the administrative rules governing compliance were notified in 2014.
CSR Spend Floor (2%)	**Erroneous 1% Distractor**	The statutory minimum allocation is strictly 2% of the average net profits of the three preceding financial years; there is no 1% provision.
Maximum Retail Price (MRP)	**Minimum Support Price (MSP)**	MRP is a statutory price ceiling protecting consumers from overcharging on packaged goods; MSP is an administrative price floor guaranteeing remunerative prices to farmers.
ECOMARC Environmental Label	**ISI / BIS Quality Mark**	ECOMARC specifically certifies that a product is environmentally benign and safe for ecosystems; the ISI mark certifies compliance with general engineering and performance standards.
ECOMARC	**AGMARK**	ECOMARC is an eco-label for manufactured consumer goods administered by BIS; AGMARK is a quality grading mark for raw agricultural produce issued by the Directorate of Marketing and Inspection.

Concept A	Concept B	Core Conceptual Distinction
Insurance Regulator (IRDAI)	**Pension Regulator (PFRDA)**	IRDAI regulates life and general insurance companies (headquartered in Hyderabad); PFRDA regulates pension funds and the National Pension System (headquartered in New Delhi).
Telecom Regulator (TRAI)	**Appellate Tribunal (TDSAT)**	TRAI formulates telecom regulations, tariffs, and interconnection terms; TDSAT adjudicates commercial and consumer disputes arising in the telecom and broadcasting sectors.
Ministry of Cooperation	**Ministry of Agriculture**	Established in 2021 as a distinct Union ministry to oversee multi-state cooperatives and promote cooperative governance across all sectors, including but not limited to agriculture.
Project Arrow (Post Offices)	**Other Modernization Schemes**	Project Arrow is specifically designed to transform and modernize India Post branches; it is not an aviation, highway, or railway initiative.

📋 High-Yield Summary Table — Services, Corporate Governance, and Regulators

Institution / Regulatory Framework	Governing Statute & Core Operational Focus
Dominant Sector in GVA	**Services (~54.4%)**, followed by Industry (~27.8%) and Agriculture (~17.9%).
Storage of Agricultural Produce	Classified as a **Tertiary sector** activity (logistics and warehousing).
Construction Sector Classification	Categorized under **Industry (Secondary sector)**, not Services.
Mandatory CSR Legislation	**Section 135 of the Companies Act, 2013** (operational from 1 April 2014).
Statutory CSR Spend Requirement	**At least 2% of the average net profits** of the three preceding financial years.
Maximum Retail Price (MRP) Rule	A legally enforceable price ceiling; consumers are legally permitted to bargain and pay **below the MRP**.
ECOMARC Certification	Awarded to **environmentally friendly products**; logo depicts an earthen pot (*matka*).
AGMARK Certification	Quality assurance for **agricultural produce** under the 1937 Act; issued by DMI.
IRDAI Permanent Seat	Headquartered in **Hyderabad, Telangana** (established under the IRDA Act, 1999).
PFRDA Mandate	Regulates the National Pension System (NPS) and private pension funds (Act 2013).
Competition Commission of India (CCI)	Prevents anti-competitive cartels and abuse of dominance under the Competition Act, 2002.
Telecom Regulatory Authority of India (TRAI)	Regulates telecom tariffs and spectrum interconnection (established 20 February 1997).
TDSAT Appellate Body	Adjudicates disputes in telecom, broadcasting, and airport tariff matters.
Project Arrow Scope	National scheme for comprehensive modernization and computerization of **Post Offices**.
Universal Service Obligation Fund (USOF)	Subsidizes rural telecommunications and broadband infrastructure.
Ministry of Cooperation Inception	Formed in **July 2021** to spearhead *Sahakar se Samriddhi*.
Constitutional Basis for Cooperatives	**Article 43B** (DPSP) and **Part IXB**, inserted by the 97th Constitutional Amendment Act, 2011.

11.4 National Regulatory Authorities and Oversight Architecture

Regulatory Body	Year of Establishment & Statute	Headquarters & Primary Regulatory Domain
Reserve Bank of India (RBI)	1935 (RBI Act, 1934)	**Mumbai** — Monetary policy, currency issuance, commercial banking, payment and settlement systems.

Regulatory Body	Year of Establishment & Statute	Headquarters & Primary Regulatory Domain
Securities and Exchange Board of India (SEBI)	1988; Statutory 1992 (SEBI Act, 1992)	**Mumbai** — Securities markets, stock exchanges, mutual funds, merchant banking, investor protection.
Insurance Regulatory and Development Authority of India (IRDAI)	1999 (IRDA Act, 1999)	**Hyderabad** — Licensing, solvency margins, and consumer protection across life and non-life insurance.
Pension Fund Regulatory and Development Authority (PFRDA)	2003; Statutory 2013 (PFRDA Act, 2013)	**New Delhi** — Prudential regulation of pension funds, central recordkeeping, and National Pension System (NPS).
Competition Commission of India (CCI)	2003 (Competition Act, 2002)	**New Delhi** — Eliminates anti-competitive agreements, cartels, abuse of dominant position, and reviews corporate combinations.
Telecom Regulatory Authority of India (TRAI)	20 February 1997 (TRAI Act, 1997)	**New Delhi** — Regulates telecommunications and broadcasting tariffs, interconnection terms, and service quality.
International Financial Services Centres Authority (IFSCA)	2020 (IFSCA Act, 2019)	**GIFT City (Gandhinagar)** — Unified statutory regulator for capital markets, banking, and insurance within IFSCs.
Bureau of Indian Standards (BIS)	1986; Revamped 2016 (BIS Act, 2016)	**New Delhi** — National standards body; administers ISI certification mark and compulsory hallmarking.
Food Safety and Standards Authority of India (FSSAI)	2008 (FSS Act, 2006)	**New Delhi** — Formulates science-based food standards, hygienic practices, and regulates food business operators.

Common Traps

Common Traps & High-Yield Exam Distinctions

- **Sectoral Classification of Activities:** The tertiary sector encompasses intangible services (trade, transport, finance); forestry, logging, fishing, and mining/quarrying belong to the Primary sector; construction belongs to Industry (Secondary sector) in national GVA accounts.
- **Agricultural Warehousing:** Warehousing, storage, and commercial marketing of harvested agricultural crops are classified as Tertiary sector logistics activities, not secondary processing.
- **GVA Sectoral Ranking:** In India's GVA at current prices, Services contribute the largest share (~54.4%), followed by Industry (~27.8%) and Agriculture & Allied (~17.9%); asserting that services generate only 25% of GDP is factually false.
- **Mandatory CSR Statute & Year:** Corporate Social Responsibility is governed by Section 135 of the Companies Act, 2013 (operational from 1 April 2014); there is no "Companies Act, 2014."
- **CSR Spending Parameters:** Mandates spending at least 2% of the average net profits of the three preceding financial years; spending that benefits exclusively company employees and their families does not qualify as CSR.
- **Maximum Retail Price (MRP) Dynamics:** MRP is a statutory price ceiling protecting consumers; retailers cannot charge above it, but consumers are legally entitled to bargain and buy below the MRP.
- **ECOMARC Environmental Eco-Label:** ECOMARC certifies that a product is environmentally benign (depicting an earthen pot logo); it is distinct from the ISI mark (general product safety) and AGMARK (agricultural produce quality grading).
- **AGMARK Administrative Body:** Issued under the Agricultural Produce (Grading and Marking) Act, 1937, by the Directorate of Marketing and Inspection (DMI) under the Ministry of Agriculture, not by FAO or FCI.
- **Regulatory Authorities Headquarters:** IRDAI is headquartered in Hyderabad, Telangana; SEBI and RBI are in Mumbai; PFRDA, CCI, and TRAI are in New Delhi; IFSCA is in GIFT City, Gandhinagar.
- **Project Arrow:** A dedicated national scheme launched in 2008 by India Post for the modernization and computerization of Post Offices; it is not related to airports or railways.

- **Constitutional Architecture of Cooperatives:** Governed by Article 43B (Directive Principles) and Part IXB, inserted by the 97th Constitutional Amendment Act, 2011; the Union Ministry of Cooperation was established in July 2021.

Topic 12 — Economic Laws, Reports, Rankings and Misc

Current Affairs & Key Indicators

Year / Index	Key Development & Core Metric	Analytical & Policy Significance
Economic Survey 2022–23 Policy Response	To counteract aggravated global supply disruptions, the Government of India **reduced customs duties on fuel and selected imported inputs**.	Prioritized inflation management through targeted excise and tariff rationalization, without curtailing food or fertilizer subsidies.
Economic Survey E-Commerce Projection	Projected that fashion, grocery, and general merchandise will account for nearly two-thirds of India's e-commerce market **within the next four years (~2027)**.	Distinguishes medium-term digital market penetration from distant decade-end targets (not 2030).
Human Development Report (HDR 2021–22)	India's global HDI ranking **slipped from 130 (2020) to 132 (2022)** amid post-pandemic global setbacks.	A higher numerical rank denotes a relative decline in comparative global standing; describing this as an "upgrade" is incorrect.
World Happiness Report 2022	India ranked **136th** globally in subjective life evaluation among 146 surveyed nations.	Published by the UN Sustainable Development Solutions Network (SDSN) based on Gallup World Poll data.
Ease of Doing Business Historical Series	India achieved landmark rank improvements: **77th in Doing Business 2019** and **63rd in Doing Business 2020**.	The World Bank officially discontinued the publication in 2021 following independent data audit irregularities.
Physical Quality of Life Index (PQLI)	Developed in the mid-1970s by economist **Morris D. Morris** for the Overseas Development Council.	An early non-monetary composite welfare metric combining basic literacy, infant mortality rate, and life expectancy at age one.
Global Hunger Index (GHI 2017)	India was ranked **100th** out of 119 qualifying nations.	Published jointly by Concern Worldwide and Welthungerhilfe; scores reflect child undernutrition, stunting, wasting, and mortality.
Global Peace Index (GPI 2018)	India was ranked **136th** globally by the Institute for Economics and Peace (IEP).	Measures peacefulness across ongoing domestic/international conflict, societal safety, and degree of militarization.

Confused Pairs

Concept A	Concept B	Core Conceptual Distinction
Economic Survey	**Union Budget**	The Economic Survey is an analytical retrospective review of the past financial year; the Union Budget is a prospective statement of estimated receipts and expenditures for the upcoming year.
Numerical Rank Increase	**Performance Direction**	In international indices, an increase in the numerical rank (e.g., from 130 to 132) signifies a relative deterioration ("slipped"), not an improvement ("upgraded").
Physical Quality of Life Index (PQLI)	**Human Development Index (HDI)**	PQLI (Morris, 1970s) is an unweighted average of literacy, IMR, and life expectancy at age 1 (non-monetary); HDI (UNDP, 1990) incorporates Gross National Income alongside schooling and longevity.
Global Hunger Index (GHI)	**World Happiness Report**	GHI measures physical nutritional deprivations and child mortality; World Happiness ranks subjective well-being based on Gallup survey life evaluations.
Doing Business 2019 Rank (77)	**Doing Business 2020 Rank (63)**	India ranked 77th in the 2019 report and improved to 63rd in the 2020 report; the publication was permanently discontinued by the World Bank in 2021.
Global Peace Index (IEP)	**World Happiness Report (SDSN)**	GPI evaluates domestic/international peace, militarization, and conflict; World Happiness evaluates subjective life satisfaction and social freedom.

Concept A	Concept B	Core Conceptual Distinction
Insolvency & Bankruptcy Code (IBC, 2016)	**Real Estate Regulation Act (RERA, 2016)**	IBC establishes time-bound debt resolution for corporate entities; RERA regulates real estate developers, protects homebuyer deposits, and ensures timely project completion.
PMLA (2002)	**FEMA (1999)**	PMLA is a criminal-penal statute penalizing the laundering of proceeds of crime; FEMA is a civil regulatory statute governing orderly foreign exchange transactions.
NITI Aayog SDG India Index	**UN SDSN Global SDG Index**	The SDG India Index evaluates and ranks Indian States and Union Territories; the SDSN Sustainable Development Report ranks sovereign member countries globally.
Gender Inequality Index (GII, 2010)	**Human Development Index (HDI, 1990)**	GII was introduced in the 2010 Human Development Report; the foundational HDI was inaugurated in the 1990 report.
Adam Smith	**John Maynard Keynes**	Adam Smith founded modern economics through classical free-market and division of labor analysis; J.M. Keynes founded modern macroeconomics focusing on aggregate demand management.
SDG 6 (Clean Water & Sanitation)	**SDG 7 (Affordable & Clean Energy)**	SDG 6 guarantees sustainable water management and sanitation; SDG 7 ensures access to affordable, reliable, and modern clean energy.
PAT Scheme (Ministry of Power / BEE)	**NCAP (MoEFCC, 2019)**	PAT trades energy saving certificates to improve industrial energy efficiency; NCAP is a municipal-level framework targeting urban air particulate matter reduction.
National Education Policy 2020	**National Policy on Education 1986**	NEP 2020 was formulated by the Kasturirangan Committee, superseding the 1986 policy after an interval of 34 years (not 38 years).

📋 High-Yield Summary Table — Economic Legislation, Indices, and Flagship Missions

Statute / Global Index / Policy Mission	Key Enactment Year & Core Statutory Domain
Insolvency and Bankruptcy Code (IBC)	Enacted in **2016**; administered by IBBI; corporate insolvency resolution.
Real Estate Regulation Act (RERA)	Enacted in **2016**; regulates promoters, projects, and protects homebuyers.
Prevention of Money Laundering Act (PMLA)	Enacted in **2002**; enforced by ED; Director is authorized to inspect financial records.
Code on Wages	Enacted in **2019**; consolidates 4 historical wages, bonus, and remuneration statutes.
Economic Survey 2022–23 Policy Measure	Implemented **duty cuts on fuel and selected imported inputs** to ease supply shocks.
E-Commerce Market Timeline (Survey 2023)	Fashion and grocery projected to reach two-thirds of e-commerce by **~2027 (not 2030)**.
PQLI Formulator	Developed by **Morris D. Morris** (1979); composite of literacy, IMR, and life expectancy.
Global Hunger Index (2017 Rank)	India ranked **100th** among 119 nations (Concern Worldwide & Welthungerhilfe).
World Happiness Report (2022 Rank)	India ranked **136th** globally (SDSN / Gallup World Poll).
Global Peace Index (2018 Rank)	India ranked **136th** worldwide (Institute for Economics and Peace).
Ease of Doing Business Trajectory	India ranked **77th (2019)** and **63rd (2020)**; subsequently discontinued by World Bank.
Human Development Report (2021–22 Rank)	India **slipped to 132nd** among 191 nations (HDI value 0.633).
Gender Inequality Index (GII) Inception	Formally incorporated in **Human Development Report 2010**.
SDG India Index Nodal Agency	**NITI Aayog**; institutional coordinator for national SDG monitoring.
SDG India Index (2023–24 Top States)	**Kerala and Uttarakhand** tied at **1st position (score 79)**; Bihar lowest (57).
SDG Performance Categories	Aspirant (0–49), Performer (50–64), Front-runner (65–99), Achiever (100).

Statute / Global Index / Policy Mission	Key Enactment Year & Core Statutory Domain
UN SDSN Global SDG Ranking	India achieved **99th position** in 2025 (entering the top 100 for the first time).
Key Sustainable Development Goals	SDG 1: No Poverty; SDG 2: Zero Hunger; SDG 6: Clean Water; SDG 15: Life on Land.
National Education Policy 2020 Chair	Drafted under **Dr. K. Kasturirangan**; replaced the 1986 policy after 34 years.
Father of Modern Economics	**Adam Smith** (*The Wealth of Nations*, 1776).
Founder of Modern Macroeconomics	**John Maynard Keynes** (*The General Theory*, 1936).
Concept of "Missing Women"	Coined by **Amartya Sen** in 1990.

12.1 Key Economic Statutes, Codes, and Regulatory Frameworks

Statute / Code	Year	Regulatory Body	Primary Legislative Focus & Mandate
RBI Act	1934	Reserve Bank of India	Monetary stability, central banking, currency issue, bank regulation.
SEBI Act	1992	SEBI	Capital market oversight, stock exchanges, investor protection.
FEMA	1999 (force 2000)	RBI / ED	Orderly management and facilitation of external trade and foreign exchange.
Competition Act	2002	Competition Commission of India	Prohibits cartels, anti-competitive agreements, and abuse of dominance.
PMLA	2002	Directorate of Enforcement	Confiscation of proceeds of crime and prevention of money laundering.
FRBM Act	2003	Central Government	Fiscal responsibility, inter-generational equity, deficit targets.
Companies Act	2013	Ministry of Corporate Affairs	Corporate formation, governance standards, mandatory CSR under Section 135.
IBC	2016	IBBI	Time-bound resolution of corporate insolvency and bankruptcy.
RERA	2016	State Real Estate Authorities	Project transparency, builder accountability, protection of homebuyers.
Consumer Protection Act	2019	CCPA	Consumer dispute redressal, product liability, curbing unfair trade practices.
Code on Wages	2019	Ministry of Labour & Employment	Universalizes minimum wages and timely payment across all employments.

Common Traps

Common Traps & High-Yield Exam Distinctions

- **Economic Survey vs Union Budget:** The Economic Survey is an analytical retrospective review presented prior to the budget; always verify the specific edition year before evaluating Survey statistics.
- **E-Commerce Growth Horizon:** The Economic Survey 2022–23 projected fashion and grocery capturing two-thirds of e-commerce within approximately four years (~2027), not by 2030.
- **Index Rank Interpretation:** In ordinal ranking frameworks, a higher numerical position (e.g., from 130 to 132) denotes a relative decline ("slipped"), not an improvement ("upgraded").
- **PQLI Formulation:** The Physical Quality of Life Index was formulated by Morris D. Morris in 1979; it is distinct from Mahbub ul Haq and Amartya Sen's Human Development Index (HDI, 1990).

- **Economic Legislation Enactments:** Insolvency and Bankruptcy Code (IBC) and Real Estate Regulation Act (RERA) were both enacted in 2016; PMLA was enacted in 2002; Code on Wages was enacted in 2019.
- **PMLA Enforcement Powers:** The Director of Enforcement possesses full statutory authority to inspect premises and call for records from financial institutions under the PMLA.
- **SDG India Index Governance:** Administered by NITI Aayog (the nodal national body); classifications comprise Aspirant (0–49), Performer (50–64), Front-runner (65–99), and Achiever (100).
- **Top States in SDG India Index 2023–24:** Kerala and Uttarakhand shared the 1st rank with a score of 79; Bihar recorded the lowest score (57); Uttar Pradesh is categorized as a Front-runner (score 67).
- **Foundational Thinkers Distinction:** Adam Smith is the "Father of Modern Economics" (*The Wealth of Nations*, 1776); John Maynard Keynes is the father of modern macroeconomics (*The General Theory*, 1936); F.W. Taylor is the father of scientific management.
- **Concept Origins:** "Missing women" was formulated by Amartya Sen (1990); "Marginal Man" was introduced by Robert E. Park (1928); "Global Village" was coined by Marshall McLuhan.
- **National Education Policy 2020 Parameters:** Drafted by the Kasturirangan Committee; replaced the 1986 policy after 34 years; introduces vocational training from Grade 6 under the USD 5+3+3+4USD structure.